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### Multi-party computation in a computer sharding environment

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#### Abstract

Methods and systems are presented for providing a framework for facilitating multi-party computation within a sharding environment. After a blockchain is divided into multiple shard chains, a multi-party computation system obtains attributes associated with a first shard chain. The attributes may represent characteristics of the first shard chain, characteristics of transactions recorded in the first shard chain, and characteristics of the computer nodes configured to manage the first shard chain. Based on the attributes, the multi-party computation system determines a multi-party computation scheme that specifies a minimum threshold number of nodes required to participate in a transaction validation process and at least one required node required to participate in the transaction validation process for the first shard chain. The multi-party computation system configures the computer nodes configured to manage the first shard chain to perform the transaction validation process according to the multi-party computation scheme.

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Background/Summary

CROSS REFERENCE TO RELATED APPLICATION (1) The present invention is a Continuation of U.S. patent application Ser. No. 17/543,143, filed Dec. 6, 2021, which is incorporated herein by reference in its entirety.

## BACKGROUND

(1) The present specification generally relates to distributed computing, and more specifically, to providing a framework for secured multi-party computation in a computer sharding environment according to various embodiments of the disclosure.

## RELATED ART

(2) Blockchains have become a popular computer data structure for storing transaction data due to its inherent peer-to-peer and immutable characteristics. For example, blockchains have been used as a decentralized ledger to record transaction data associated with various cryptocurrencies, smart contracts, and other types of transaction data. Copies and/or parts of a blockchain can be stored across different computer nodes, where each computer node may be configured to validate transactions and add new transaction data to the blockchain. As a new transaction is conducted, one or more of the computer nodes may be configured to validate the new transaction (e.g., through a proof-of-work or a proof-of-stake mechanism, etc.). Once the new transaction is validated, the transaction data of the new transaction may be packaged into a block and appended to the copies of the blockchain by the one or more of the computer nodes.

(3) As more transaction data is added to a blockchain, the speed and efficiency performance of managing the blockchain may suffer due to the size of the blockchain continuing to grow. One solution for increasing the scalability of blockchains is to divide a blockchain into multiple shard chains, where each shard chain corresponds to a distinct portion of the blockchain. The computer nodes that are configured to manage the blockchain may also be divided into different groups, where each group may be configured to manage a corresponding shard chain. While such a sharding solution can increase the scalability of a blockchain, it also makes the blockchain (or each of the shard chains associated with the blockchain) more vulnerable to attacks. For example, since the computer nodes that were configured to store and manage the blockchain are divided into multiple smaller groups of computer nodes for managing individual shard chains, a 51% attack on a shard chain can be accomplished by controlling (e.g., taking over, infecting with a virus, etc.) a substantially smaller number of computer nodes than accomplishing the same attack on the entire blockchain. Thus, there is a need for providing a framework that improves the security of electronic transactions within a sharding blockchain environment.

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## Description

### BRIEF DESCRIPTION OF THE FIGURES

- (1) FIG. 1 illustrates an example computing architecture for facilitating one or more blockchain based transactions according to an embodiment of the present disclosure;
- (2) FIG. 2 illustrates an example blockchain network according to an embodiment of the present disclosure;
- (3) FIG. 3 illustrates an example blockchain according to an embodiment of the present disclosure;
- (4) FIG. 4 is a diagram of an example transaction message according to an embodiment of the present disclosure;
- (5) FIG. 5 shows an example transaction broadcast the blockchain network according to an embodiment of the present disclosure;
- (6) FIG. 6A is a flowchart showing an example process for performing a blockchain based transaction according to an embodiment of the present disclosure;
- (7) FIG. 6B is a flowchart showing another example process for performing a blockchain based transaction according to an embodiment of the present disclosure;
- (8) FIG. 7A shows an example of a privately broadcasted blockchain according to an embodiment of the present disclosure;
- (9) FIG. 7B shows an example of a blockchain misuse according to an embodiment of the present

disclosure;

(10) FIG. 8 illustrates an example of a blockchain enabled in-store purchase system according to an embodiment of the present disclosure;

(11) FIG. 9 illustrates an example of communications for an IoT blockchain enabled device system according to an embodiment of the present disclosure;

(12) FIG. 10 illustrates an example system according to an embodiment of the present disclosure;

(13) FIG. 11 illustrates an example computing device according to an embodiment of the present disclosure;

(14) FIG. 12 is a block diagram illustrating a networked system that includes an electronic transaction system according to an embodiment of the present disclosure;

(15) FIG. 13 illustrates an example sharding environment of a blockchain according to an embodiment of the present disclosure;

(16) FIG. 14 is a block diagram illustrating a multi-party computation module according to an embodiment of the present disclosure;

(17) FIG. 15 illustrates distributing of secrets and shares of a secret among a set of computer nodes according to an embodiment of the present disclosure;

(18) FIG. 16 illustrates interactions among a set of computer nodes for performing validation process according to an embodiment of the present disclosure;

(19) FIG. 17 is a flowchart showing a process of implementing a multi-party computation scheme for a shard chain according to an embodiment of the present disclosure;

(20) FIG. 18 is a flowchart showing a process of modifying a multi-party computation scheme for a shard chain according to an embodiment of the present disclosure;

(21) FIG. 19 is a flowchart showing a process of performing a validation process according to an embodiment of the present disclosure; and

(22) FIG. 20 is a block diagram of a system for implementing a device according to an embodiment of the present disclosure.

(23) Embodiments of the present disclosure and their advantages are best understood by referring to the detailed description that follows. It should be appreciated that like reference numerals are used to identify like elements illustrated in one or more of the figures, wherein showings therein are for purposes of illustrating embodiments of the present disclosure and not for purposes of limiting the same.

#### DETAILED DESCRIPTION

(24) The present disclosure includes methods and systems for providing a framework for facilitating multi-party computation within a sharding environment. As discussed herein, as a blockchain that is managed by multiple computer nodes (in a blockchain network) grows in size, the speed and efficiency performance of adding transaction data to the blockchain may be reduced. One solution is to divide the blockchain into multiple portions (also known as “shard chains”), such that each of the computer nodes may be configured to store and manage only a corresponding shard chain (e.g., a corresponding portion of the blockchain) instead of the entire blockchain. The transactions that have been added to each shard chain may be merged to the blockchain subsequently (e.g., offline, etc.). Since the processing resources required to process transaction data for a shard chain of the blockchain are substantially less than that required to process transaction data for the entire blockchain, the speed and efficiency performance can be improved.

(25) However, such a sharding solution also introduces new security risk to the blockchain. The integrity of a blockchain may be dependent on a number of factors, including the total number of computer nodes that are configured to store and manage copies of the blockchain within the blockchain network. That is because when the blockchain is being operated in a decentralized manner, a true version of the blockchain can be determined based on a consensus (e.g., a majority) from the computer nodes that are configured to store and manage the various copies of the blockchain. Thus, one way to compromise the integrity of the blockchain (e.g., adding fraudulent

data to and/or removing legitimate data from the blockchain) is to take control of at least half of the computer nodes within the blockchain network that is configured to store and manage the blockchain (also known as the 51% attack as discussed above). The more computer nodes configured to store and manage copies of the blockchain, the more difficult it is to perform such an attack on the blockchain.

(26) By dividing up the computer nodes that are configured to manage the blockchain into different groups of nodes (e.g., different shard networks) to store and manage a corresponding shard chain, the number of nodes configured to manage each shard chain is substantially less than the total number of nodes that were configured to manage the entire blockchain prior to the sharding. The substantially less number of nodes for storing and managing each shard chain may in turn lead to higher security risk for the blockchain, as it is easier to carry an attack (e.g., 51% attack) on any one of the shard chains than on the entire blockchain prior to the sharding.

(27) As such, according to various embodiments of the disclosure, a multi-party computation system may be configured to use a multi-party computation technique to improve the security and integrity of various shard chains of a blockchain. In some embodiments, the multi-party computation system may access shard chains associated with a blockchain and the computer nodes configured to store and manage the shards. The multi-party computation system may determine one or more metrics for each of the shard chains. For example, the multi-party computation system may determine, for each shard chain, a chain metric that represents characteristics of the portion of the blockchain corresponding to the shard chain. The chain metric may indicate a size of the shard chain, an age (e.g., an average age, etc.) of the blocks in the shard chain, a rate or frequency of blocks being added to the shard chain, and other information associated with the shard chain. In some embodiments, the chain metric may also represent a size of the entire blockchain, an age of the blockchain, a rate or frequency of blocks being added to the blockchain as a whole, and other information associated with the blockchain.

(28) The multi-party computer system may also determine a transaction metric representing characteristics of the transactions that are recorded in each shard chain. For example, the transaction metric may represent the amounts of the transactions (e.g., an average, a minimum, a maximum, etc.) being recorded in the shard chain, a number of transactions being recorded in the shard chain, a rate or frequency of transactions being recorded in the shard chain, a volatility of transactions being recorded in the shard chain, characteristics of the users and/or user devices used to conduct the transactions being recorded in the shard chain, and other information associated with the transactions being recorded in the shard chain. The multi-party computation system may also determine a node metric representing characteristics of the computer nodes within the group configured to store and manage the shard chain. For example, the node metric may represent a security level of each computer node within the group, hardware and/or software configuration of each computer node within the group, a network attribute associated with the connections among the computer nodes within the group, and other attributes associated with the computer nodes in the group.

(29) Based on the metrics associated with the shard chains, the multi-party computation system may determine a multi-party computation scheme for each shard chain. The multi-party computation scheme may specify a minimum number ( $t$ ) of participating nodes, out of all of the computer nodes ( $n$  number of computer nodes) in the group (in the shard network) corresponding to the shard chain, for validating a transaction to be recorded in the shard chain. By specifying a minimum number of participating nodes (e.g., more than half of the nodes in the group of nodes) for validating transactions to be recorded in a shard chain, the security of the shard can be improved.

(30) In some embodiments, to further improve the security of the shards, the multi-party computation system may also identify a required (also referred to as “must-have”) computer node for participating in validating transactions to be recorded in the shard chain. For example, the

multi-party computation system may select, for each particular shard chain, a particular computer node as the required (“must-have”) computer node for participating in validating transactions through the particular shard. For example, the multi-party computation system may select a particular computer node that is configured to store and manage the particular shard chain and also one or more other shard chains of the blockchain. The reason for selecting such a computer node as the required computer node is that computer nodes that are configured (e.g., by the administrator(s) of the blockchain) to store and manage multiple shard chains are usually more trust-worthy and have a higher level of security than other nodes. Thus, selecting the particular computer node as a required node for participating in the validation process would further increase the security of the shard.

(31) To implement such a multi-party computation process, multiple secrets may be generated for a digital signature in a manner such that the combination of the multiple secrets are required to generate the digital signature. The number of secrets generated may correspond to one plus the number of required (“must-have”) computer nodes for validating transactions conducted through the shard. For example, if only one required (“must-have”) computer node is needed for the validation process, two secrets may be generated for generating the digital signature. If two required computer nodes are needed for the validation process, three secrets may be generated for generating the digital signature. The combination of all of the secrets is required to generate the digital signature. The multiple secrets may include one or more unshared secrets that correspond to the one or more required computer nodes, and a shared secret to be shared among the other nodes within the group configured to manage the shard.

(32) The multi-party computation system may distribute the one or more unshared secrets among the one or more required computer nodes (in the event that there is only one required computer node, the one unshared secret is provided to the required computer node). The multi-party computation system may then generate shares from the remaining secret (the shared secret) using techniques disclosed herein, and distribute the shares associated with the shared secret to the other remaining computer nodes (the multiple computer nodes excluding the required nodes) within the group. In some embodiments, the multi-party computation system may generate the shares from the shared secret and distribute the shares to the remaining multiple computer nodes such that shares from any combination of a number of computer nodes equals to  $t$  minus the number of required nodes are needed to generate an output that mimics a computation based on the shared secret. In some embodiments, the output may be the shared secret. In some embodiments, the output may mimic a product generated based on the shared secret.

(33) Accordingly, during a validation process for validating a transaction to be recorded in a shard of the blockchain, a set of computer nodes not including the required node(s) may collaborate in performing a set of computations using their corresponding shares to generate the shared secret or a product based on the shared secret. If a sufficient number of computer nodes ( $t$  minus the number of required nodes) participate in the validation process, the set of computer nodes would successfully generate an output that corresponds to the shared secret (e.g., the shared secret or an output that mimics a product generated by the shared secret) using their corresponding shares. The required node(s) may then perform additional computations on the output using the corresponding secret(s) to generate the digital signature. Only when the proper digital signature is generated would the transaction be recorded in the shard. Thus, when a number of computer nodes less than the minimum threshold number ( $t$ ) of computer nodes participated in the validation or when any one of the required node(s) do not participate in the validation of a transaction, the transaction will not be recorded in the corresponding shard chain (e.g., discarded by the computer nodes in the shard network). In some embodiments, when the proper digital signature is generated, the generated digital signature may also be recorded in the shard chain (e.g., within the same block as transaction data associated with the transaction).

(34) Blockchains

(35) In its broadest sense, blockchain refers to a framework that supports a trusted ledger that is stored, maintained, and updated in a distributed manner in a peer-to-peer network. For example, in a cryptocurrency application, such as Bitcoin or Ethereum, Ripple, Dash, Litecoin, Dogecoin, zCash, Tether, Bitcoin Cash, Cardano, Stellar, EOS, NEO, NEM, Bitshares, Decred, Augur, Komodo, PIVX, Waves, Steem, Monero, Golem, Stratis, Bytecoin, Ardor, or in digital currency exchanges, such as Coinbase, Kraken, CEX.IO, Shapeshift, Poloniex, Bitstamp, Coinmama, Bisq, LocalBitcoins, Gemini and others, the distributed ledger represents each transaction where units of the cryptocurrency are transferred between entities. For example, using a digital currency exchange, a user may buy any value of digital currency or exchange any holdings in digital currencies into worldwide currency or other digital currencies. Each transaction can be verified by the distributed ledger and only verified transactions are added to the ledger. The ledger, along with many aspects of blockchain, may be referred to as “decentralized” in that a central authority is typically not present. Because of this, the accuracy and integrity of the ledger cannot be attacked at a single, central location. Modifying the ledger at all, or a majority of, locations where it is stored is made difficult so as to protect the integrity of the ledger. This is due in large part because individuals associated with the nodes that make up the peer-to-peer network have a vested interest in the accuracy of the ledger.

(36) Though maintaining cryptocurrency transactions in the distributed ledger may be the most recognizable use of blockchain technology today, the ledger may be used in a variety of different fields. Indeed, blockchain technology is applicable to any application where data of any type may be accessed where the accuracy of the data is assured. For example, a supply chain may be maintained in a blockchain ledger, where the transfer of each component from party to party, and location to location, may be recorded in the ledger for later retrieval. Doing so allows for easier identification of a source for a defective part and where other such defective parts have been delivered. Similarly, food items may be tracked in like manner from farm to grocery store to purchaser.

(37) Implementations of the present disclosure will now be described in detail with reference to the accompanying Figures.

(38) It is to be understood that the phraseology and terminology used herein are for the purpose of description and should not be regarded as limiting. Rather, the phrases and terms used herein are to be given their broadest interpretation and meaning. The use of “including” and “comprising” and variations thereof is meant to encompass the items listed thereafter and equivalents thereof as well as additional items and equivalents thereof.

(39) Computing Architecture

(40) As discussed above, the distributed ledger in a blockchain framework is stored, maintained, and updated in a peer-to-peer network. In one example the distributed ledger maintains a number of blockchain transactions. FIG. 1 shows an example system **100** for facilitating a blockchain transaction. The system **100** includes a first client device **120**, a second client device **125**, a first server **150**, a second server **152**, and an Internet of Things (IoT) device **155** interconnected via a network **140**. The first client device **120**, the second client device **125**, the first server **150**, and/or the second server **152** may be a computing device **1105** described in more detail with reference to FIG. 11. The IoT device **155** may comprise any of a variety of devices including vehicles, home appliances, embedded electronics, software, sensors, actuators, thermostats, light bulbs, door locks, refrigerators, RFID implants, RFID tags, pacemakers, wearable devices, smart home devices, cameras, trackers, pumps, POS devices, and stationary and mobile communication devices along with connectivity hardware configured to connect and exchange data. The network **140** may be any of a variety of available networks, such as the Internet, and represents a worldwide collection of networks and gateways to support communications between devices connected to the network **140**. The system **100** may also comprise one or more distributed or peer-to-peer (P2P) networks, such as a first, second, and third blockchain networks **130a-c** (generally referred to as blockchain networks

**130**). As shown in FIG. 1, the network **140** may comprise the first and second blockchain networks **130a** and **130b**. The third blockchain network **130c** may be associated with a private blockchain as described below with reference to FIG. 2 and is connected to one or more servers, such as the server **152**, and is thus, shown separately from the first and second blockchain networks **130a** and **103b**. Each blockchain network **130** may comprise a plurality of interconnected devices (or nodes) as described in more detail with reference to FIG. 2. As discussed above, a ledger, or blockchain, is a distributed database for maintaining a growing list of records comprising any type of information. A blockchain, as described in more detail with reference to FIG. 3, may be stored at least at multiple nodes (or devices) of the one or more blockchain networks **130**.

(41) In one example, a blockchain based transaction may generally involve a transfer of data or value between entities, such as the first user **110** of the first client device **120** and the second user **115** of the second client device **125** in FIG. 1. Each of the servers **150** and **152** may include one or more applications, for example, a transaction application configured to facilitate the transaction between the entities by utilizing a blockchain associated with one of the blockchain networks **130**. As an example, the first user **110** may request or initiate a transaction with the second user **115** via a user application executing on the first client device **120**. The transaction may be related to a transfer of value or data from the first user **110** to the second user **115**. The first client device **120** may send a request of the transaction to the server **150**. The first server **150** and/or the second server **152** may send the requested transaction to one of the blockchain networks **130** to be validated and approved as discussed below.

(42) Blockchain Network

(43) FIG. 2 shows an example blockchain network **200** comprising a plurality of interconnected nodes or devices **205a-h** (generally referred to as nodes **205**). Each of the nodes **205** may comprise a computing device **1105** described in more detail with reference to FIG. 11. Although FIG. 2 shows a single device **205**, each of the nodes **205** may comprise a plurality of devices (e.g., a pool). The blockchain network **200** may be associated with one or more blockchains **220a-h** (generally referred to as blockchain **220**). Some or all of the nodes **205** may replicate and save an identical copy of the blockchain **220**. For example, FIG. 3 shows that the nodes **205b-e** and **205g-h** store copies of the blockchain **220**. The nodes **205b-e** and **205g-h** may independently update their respective copies of the blockchain **220** as discussed below.

(44) Blockchain Node Types

(45) Blockchain nodes, for example, the nodes **205**, may be full nodes or lightweight nodes. Full nodes, such as the nodes **205b-e** and **205g-h**, may act as a server in the blockchain network **200** by storing a copy of the entire blockchain **220** and ensuring that transactions posted to the blockchain **220** are valid. The full nodes **205b-e** and **205g-h** may publish new blocks on the blockchain **220**. Lightweight nodes, such as the nodes **205a** and **205f**, may have fewer computing resources than full nodes. For example, IoT devices often act as lightweight nodes. The lightweight nodes may communicate with other nodes **205**, provide the full nodes **205b-e** and **205g-h** with information, and query the status of a block of the blockchain **220** stored by the full nodes **205b-e** and **205g-h**. In this example, however, as shown in FIG. 2, the lightweight nodes **205a** and **205f** may not store a copy of the blockchain **220** and thus, may not publish new blocks on the blockchain **220**.

(46) Blockchain Network Types

(47) The blockchain network **200** and its associated blockchain **220** may be public (permissionless), federated or consortium, or private. If the blockchain network **200** is public, then any entity may read and write to the associated blockchain **220**. However, the blockchain network **200** and its associated blockchain **220** may be federated or consortium if controlled by a single entity or organization. Further, any of the nodes **205** with access to the Internet may be restricted from participating in the verification of transactions on the blockchain **220**. The blockchain network **200** and its associated blockchain **220** may be private (permissioned) if access to the blockchain network **200** and the blockchain **220** is restricted to specific authorized entities, for



example organizations or groups of individuals. Moreover, read permissions for the blockchain **220** may be public or restricted while write permissions may be restricted to a controlling or authorized entity.

#### (48) Blockchain

(49) As discussed above, a blockchain **220** may be associated with a blockchain network **200**. FIG. **3** shows an example blockchain **300**. The blockchain **300** may comprise a plurality of blocks **305a**, **305b**, and **305c** (generally referred to as blocks **305**). The blockchain **300** comprises a first block (not shown), sometimes referred to as the genesis block. Each of the blocks **305** may comprise a record of one or a plurality of submitted and validated transactions. The blocks **305** of the blockchain **300** may be linked together and cryptographically secured. In some cases, the post-quantum cryptographic algorithms that dynamically vary over time may be utilized to mitigate ability of quantum computing to break present cryptographic schemes. Examples of the various types of data fields stored in a blockchain block are provided below. A copy of the blockchain **300** may be stored locally, in the cloud, on grid, for example by the nodes **205b-e** and **205g-h**, as a file or in a database.

#### (50) Blocks

(51) Each of the blocks **305** may comprise one or more data fields. The organization of the blocks **305** within the blockchain **300** and the corresponding data fields may be implementation specific. As an example, the blocks **305** may comprise a respective header **320a**, **320b**, and **320c** (generally referred to as headers **320**) and block data **375a**, **375b**, and **375c** (generally referred to as block data **375**). The headers **320** may comprise metadata associated with their respective blocks **305**. For example, the headers **320** may comprise a respective block number **325a**, **325b**, and **325c**. As shown in FIG. **3**, the block number **325a** of the block **305a** is  $N-1$ , the block number **325b** of the block **305b** is  $N$ , and the block number **325c** of the block **305c** is  $N+1$ . The headers **320** of the blocks **305** may include a data field comprising a block size (not shown).

(52) The blocks **305** may be linked together and cryptographically secured. For example, the header **320b** of the block  $N$  (block **305b**) includes a data field (previous block hash **330b**) comprising a hash representation of the previous block  $N-1$ 's header **320a**. The hashing algorithm utilized for generating the hash representation may be, for example, a secure hashing algorithm **256** (SHA-256) which results in an output of a fixed length. In this example, the hashing algorithm is a one-way hash function, where it is computationally difficult to determine the input to the hash function based on the output of the hash function. Additionally, the header **320c** of the block  $N+1$  (block **305c**) includes a data field (previous block hash **330c**) comprising a hash representation of block  $N$ 's (block **305b**) header **320b**.

(53) The headers **320** of the blocks **305** may also include data fields comprising a hash representation of the block data, such as the block data hash **370a-c**. The block data hash **370a-c** may be generated, for example, by a Merkle tree and by storing the hash or by using a hash that is based on all of the block data. The headers **320** of the blocks **305** may comprise a respective nonce **360a**, **360b**, and **360c**. In some implementations, the value of the nonce **360a-c** is an arbitrary string that is concatenated with (or appended to) the hash of the block. The headers **320** may comprise other data, such as a difficulty target.

(54) The blocks **305** may comprise a respective block data **375a**, **375b**, and **375c** (generally referred to as block data **375**). The block data **375** may comprise a record of validated transactions that have also been integrated into the blockchain **200** via a consensus model (described below). As discussed above, the block data **375** may include a variety of different types of data in addition to validated transactions. Block data **375** may include any data, such as text, audio, video, image, or file, that may be represented digitally and stored electronically.

#### (55) Blockchain Transaction

(56) In one example, a blockchain based transaction may generally involve a transfer of data or value or an interaction between entities and described in more detail below. Referring back to FIG.

1, the first server **150** and/or the second server **152** may include one or more applications, for example, a transaction application configured to facilitate a blockchain transaction between entities. The entities may include users, devices, etc. The first user **110** may request or initiate a transaction with the second user **115** via a user application executing on the first client device **120**. The transaction may be related to a transfer of value or data from the first user **110** to the second user **115**. The value or data may represent money, a contract, property, records, rights, status, supply, demand, alarm, trigger, or any other asset that may be represented in digital form. The transaction may represent an interaction between the first user **110** and the second user **115**.

(57) FIG. 4 is a diagram of a transaction **465** generated by the transaction application. The transaction **465** may include a public key **415**, a blockchain address **430** associated with the first user **110**, a digital signature **455**, and transaction output information **460**. The transaction application may derive a public key **415** from a private key **405** of the first user **110** by applying a cryptographic hash function **410** to the private key **405**. The cryptographic hash function **410** may be based on SHA-2 or SHA-3, although other cryptographic models may be utilized. More information about cryptographic algorithms may be found in Federal Information Processing Standards Publication (FIPS PUB **180-3**), Secure Hash Standard. The transaction application may derive an address or identifier for the first user **110**, such as the blockchain address **430**, by applying a hash function **420** to the public key **415**. Briefly, a hash function is a function that may be used for mapping arbitrary size data to fixed size data. The value may also be referred to as a digest, a hash value, a hash code, or a hash. In order to indicate that the first user **110** is the originator of the transaction **465**, the transaction application may generate the digital signature **455** for the transaction data **435** using the private key **405** of the first user **110**. The transaction data **435** may include information about the assets to be transferred and a reference to the sources of the assets, such as previous transactions in which the assets were transferred to the first user **110** or an identification of events that originated the assets. Generating the digital signature **455** may include applying a hash function **440** to the transaction data **435** resulting in hashed transaction data **445**. The hashed transaction data **445** and the transaction data **435** may be encrypted (via an encryption function **450**) using the private key **405** of the first user **110** resulting in the digital signature **455**. The transaction output information **460** may include asset information **470** and an address or identifier for the second user **115**, such as the blockchain address **475**. The transaction **465** may be sent from the first client device **125** to the first server **150**.

(58) The specific type of cryptographic algorithm being utilized may vary dynamically based on various factors, such as a length of time, privacy concerns, etc. For example, the type of cryptographic algorithm being utilized may be changed yearly, weekly, daily, etc. The type of algorithms may also change based on varying levels of privacy. For example, an owner of content may implement a higher level of protection or privacy by utilizing a stronger algorithm.

(59) Blockchain Addresses

(60) A blockchain network may utilize blockchain addresses to indicate an entity using the blockchain or start and end points in the transaction. For example, a blockchain address for the first user **110**, shown in FIG. 4 as the blockchain address of sender **430**, may include an alphanumeric string of characters derived from the public key **415** of the first user **110** based on applying a cryptographic hash function **420** to the public key **415**. The methods used for deriving the addresses may vary and may be specific to the implementation of the blockchain network. In some examples, a blockchain address may be converted into a QR code representation, barcode, token, or other visual representations or graphical depictions to enable the address to be optically scanned by a mobile device, wearables, sensors, cameras, etc. In addition to an address or QR code, there are many ways of identifying individuals, objects, etc. represented in a blockchain. For example, an individual may be identified through biometric information such as a fingerprint, retinal scan, voice, facial id, temperature, heart rate, gestures/movements unique to a person etc., and through other types of identification information such as account numbers, home address, social security

number, formal name, etc.

(61) Broadcasting Transaction

(62) The first server **150** may receive transactions from users of the blockchain network **130**. The transactions may be submitted to the first server **150** via desktop applications, smartphone applications, digital wallet applications, web services, or other software applications. The first server **150** may send or broadcast the transactions to the blockchain network **130**. FIG. 5 shows an example transaction **502** broadcast by the server **150** to the blockchain network **130**. The transaction **502** may be broadcast to multiple nodes **205** of the blockchain network **130**. Typically, once the transaction **502** is broadcast or submitted to the blockchain network **130**, it may be received by one or more of the nodes **205**. Once the transaction **502** is received by the one or more nodes **205** of the blockchain network **130**, it may be propagated by the receiving nodes **205** to other nodes **205** of the blockchain network **130**.

(63) A blockchain network may operate according to a set of rules. The rules may specify conditions under which a node may accept a transaction, a type of transaction that a node may accept, a type of compensation that a node receives for accepting and processing a transaction, etc. For example, a node may accept a transaction based on a transaction history, reputation, computational resources, relationships with service providers, etc. The rules may specify conditions for broadcasting a transaction to a node. For example, a transaction may be broadcasted to one or more specific nodes based on criteria related to the node's geography, history, reputation, market conditions, docket/delay, technology platform. The rules may be dynamically modified or updated (e.g., turned on or off) to address issues such as latency, scalability and security conditions. A transaction may be broadcast to a subset of nodes as a form of compensation to entities associated with those nodes (e.g., through receipt of compensation for adding a block of one or more transactions to a blockchain).

(64) Transaction Validation—User Authentication and Transaction Data Integrity

(65) Not all the full nodes **205** may receive the broadcasted transaction **502** at the same time, due to issues such as latency. Additionally, not all of the full nodes **205** that receive the broadcasted transaction **502** may choose to validate the transaction **502**. A node **205** may choose to validate specific transactions, for example, based on transaction fees associated with the transaction **502**. The transaction **502** may include a blockchain address **505** for the sender, a public key **510**, a digital signature **515**, and transaction output information **520**. The node **205** may verify whether the transaction **502** is legal or conforms to a pre-defined set of rules. The node **205** may also validate the transaction **502** based on establishing user authenticity and transaction data integrity. User authenticity may be established by determining whether the sender indicated by the transaction **502** is in fact the actual originator of the transaction **502**. User authenticity may be proven via cryptography, for example, asymmetric-key cryptography using a pair of keys, such as a public key and a private key. Additional factors may be considered when establishing user authenticity, such as user reputation, market conditions, history, transaction speed, etc. Data integrity of the transaction **502** may be established by determining whether the data associated with the transaction **502** was modified in any way. Referring back to FIG. 4, when the transaction application creates the transaction **465**, it may indicate that the first user **110** is the originator of the transaction **465** by including the digital signature **455**.

(66) The node **205** may decrypt the digital signature **515** using the public key **510**. A result of the decryption may include hashed transaction data **540** and transaction data **530**. The node **205** may generate hashed transaction data **550** based on applying a hash function **545** to the transaction data **530**. The node **205** may perform a comparison **565** between the first hashed transaction data **540** and the second hashed transaction data **550**. If the result **570** of the comparison **565** indicates a match, then the data integrity of the transaction **502** may be established and node **205** may indicate that the transaction **502** has been successfully validated. Otherwise, the data of the transaction **502** may have been modified in some manner and the node **205** may indicate that the transaction **502**

has not been successfully validated.

(67) Each full node **205** may build its own block and add validated transactions to that block. Thus, the blocks of different full nodes **205** may comprise different validated transactions. As an example, a full node **205a** may create a first block comprising transactions “A,” “B,” and “C.” Another full node **205b** may create a second block comprising transactions “C,” “D,” and “E.” Both blocks may include valid transactions. However, only one block may get added to the blockchain, otherwise the transactions that the blocks may have in common, such as transaction “C” may be recorded twice leading to issues such as double-spending when a transaction is executed twice. One problem that may be seen with the above example is that transactions “C,” “D,” and “E” may be overly delayed in being added to the blockchain. This may be addressed a number of different ways as discussed below.

(68) Securing Keys

(69) Private keys, public keys, and addresses may be managed and secured using software, such as a digital wallet. Private keys may also be stored and secured using hardware. The digital wallet may also enable the user to conduct transactions and manage the balance. The digital wallet may be stored or maintained online or offline, and in software or hardware or both hardware and software. Without the public/private keys, a user has no way to prove ownership of assets. Additionally, anyone with access a user's public/private keys may access the user's assets. While the assets may be recorded on the blockchain, the user may not be able to access them without the private key.

(70) Tokens

(71) A token may refer to an entry in the blockchain that belongs to a blockchain address. The entry may comprise information indicating ownership of an asset. The token may represent money, a contract, property, records, access rights, status, supply, demand, alarm, trigger, reputation, ticket, or any other asset that may be represented in digital form. For example, a token may refer to an entry related to cryptocurrency that is used for a specific purpose or may represent ownership of a real-world asset, such as Fiat currency or real-estate. Token contracts refer to cryptographic tokens that represent a set of rules that are encoded in a smart contract. The person that owns the private key corresponding to the blockchain address may access the tokens at the address. Thus, the blockchain address may represent an identity of the person that owns the tokens. Only the owner of the blockchain address may send the token to another person. The tokens may be accessible to the owner via the owner's wallet. The owner of a token may send or transfer the token to a user via a blockchain transaction. For example, the owner may sign the transaction corresponding to the transfer of the token with the private key. When the token is received by the user, the token may be recorded in the blockchain at the blockchain address of the user.

(72) Establishing User Identity

(73) While a digital signature may provide a link between a transaction and an owner of assets being transferred, it may not provide a link to the real identity of the owner. In some cases, the real identity of the owner of the public key corresponding to the digital signature may need to be established. The real identity of an owner of a public key may be verified, for example, based on biometric data, passwords, personal information, etc. Biometric data may comprise any physically identifying information such as fingerprints, face and eye images, voice sample, DNA, human movement, gestures, gait, expressions, heart rate characteristics, temperature, etc.

(74) Publishing and Validating a Block

(75) As discussed above, full nodes **205** may each build their own blocks that include different transactions. A node may build a block by adding validated transactions to the block until the block reaches a certain size that may be specified by the blockchain rules. However, only one of the blocks may be added to the blockchain. The block to be added to the blockchain and the ordering of the blocks may be determined based on a consensus model. In a proof of work model, both nodes may compete to add their respective block to the blockchain by solving a complex mathematical puzzle. For example, such a puzzle may include determining a nonce, as discussed

above, such that a hash (using a predetermined hashing algorithm) of the block to be added to the blockchain (including the nonce) has a value that meets a range limitation. If both nodes solve the puzzle at the same time, then a “fork” may be created. When a full node **205** solves the puzzle, it may publish its block to be validated by the validation nodes **205** of the blockchain network **130**.

(76) In a proof of work consensus model, a node validates a transaction, for example, by running a check or search through the current ledger stored in the blockchain. The node will create a new block for the blockchain that will include the data for one or more validated transactions (see, e.g., block **375** of FIG. 3). In a blockchain implementation such as Bitcoin, the size of a block is constrained. Referring back to FIG. 3, in this example, the block will include a Previous Block Hash **330** representing a hash of what is currently the last block in the blockchain. The block may also include a hash **370** of its own transaction data (e.g., a so-called Merkle hash). According to a particular algorithm, all or selected data from the block may be hashed to create a final hash value. According to an embodiment of the proof of work model, the node will seek to modify the data of the block so that the final hash value is less than a preset value. This is achieved through addition of a data value referred to as a nonce **360**. Because final hash values cannot be predicted based on its input, it is not possible to estimate an appropriate value for the nonce **360** that will result in a final hash value that is less than the pre-set value. Accordingly, in this embodiment, a computationally-intensive operation is needed at the node to determine an appropriate nonce value through a “brute force” trial-and-error method. Once a successful nonce value is determined, the completed block is published to the blockchain network for validation. If validated by a majority of the nodes in the blockchain network, the completed block is added to the blockchain at each participating node. When a node's block is not added to the blockchain, the block is discarded and the node proceeds to build a new block. The transactions that were in the discarded block may be returned to a queue and wait to be added to a next block. When a transaction is discarded or returned to the queue, the assets associated with the discarded transaction are not lost, since a record of the assets will exist in the blockchain. However, when a transaction is returned to the queue it causes a delay in completing the transaction. Reducing the time to complete a transaction may be important. A set of blockchain rules, or remuneration/compensation for a node to process the returned transaction may determine how a returned transaction is to be treated going forward. When a transaction is put into a pool then it can have a priority level but then a rule may indicate that the transaction priority level must exceed a threshold level. The priority level of a returned or discarded transaction may be increased. Another way to reduce the time to complete a transaction is to have the system, service provider, participant in the transaction, or merchant pay additional incentive for nodes to process a returned transaction. As an example, a service provider may identify a network of preferred miners based on geography or based on a volume discount perspective. The time to complete a transaction may be optimized by routing a returned transaction to specific preferred nodes. A transaction may be associated with an address that limits which of the preferred nodes will get to process the transaction if it is returned due to its inclusion in a discarded block. A value may be associated with the transaction so that it goes to preferred miners in a specific geographic location. Additionally, returned transactions may be processed based on pre-set rules. For example, a rule may indicate a commitment to process a specific number of returned transactions to receive additional incentive or compensation.

#### (77) Blockchain Confirmations

(78) After a block comprising a transaction is added to a blockchain, a blockchain confirmation may be generated for the transaction. The blockchain confirmation may be a number of blocks added to the blockchain after the block that includes the transaction. For example, when a transaction is broadcasted to the blockchain, there will be no blockchain confirmations associated with the transaction. If the transaction is not validated, then the block comprising the transaction will not be added to the blockchain and the transaction will continue to have no blockchain confirmations associated with it. However, if a block comprising the transaction is validated, then

each of the transactions in the block will have a blockchain confirmation associated with the transaction. Thus, a transaction in a block will have one blockchain confirmation associated with it when the block is validated. When the block is added to the blockchain, each of the transactions in the block will have two blockchain confirmations associated with it. As additional validated blocks are added to the blockchain, the number of blockchain confirmations associated with the block will increase. Thus, the number of blockchain confirmations associated with a transaction may indicate a difficulty of overwriting or reversing the transaction. A higher valued transaction may require a larger number of blockchain confirmations before the transaction is executed.

#### (79) Consensus Models

(80) As discussed above, a blockchain network may determine which of the full nodes **205** publishes a next block to the blockchain. In a permissionless blockchain network, the nodes **205** may compete to determine which one publishes the next block. A node **205** may be selected to publish its block as the next block in the blockchain based on consensus model. For example, the selected or winning node **205** may receive a reward, such as a transaction fee, for publishing its block, for example. Various consensus models may be used, for example, a proof of work model, a proof of stake model, a delegated proof of stake model, a round robin model, proof of authority or proof of identity model, and proof of elapsed time model.

(81) In a proof of work model, a node may publish the next block by being the first to solve a computationally intensive mathematical problem (e.g., the mathematical puzzle described above). The solution serves as “proof” that the node expended an appropriate amount of effort in order to publish the block. The solution may be validated by the full nodes before the block is accepted. The proof of work model, however, may be vulnerable to a 51% attack described below. The proof of stake model is generally less computationally intensive than the proof of work model. Unlike the proof of work model which is open to any node having the computational resources for solving the mathematical problem, the proof of stake model is open to any node that has a stake in the system. The stake may be an amount of cryptocurrency that the blockchain network node (user) may have invested into the system. The likelihood of a node publishing the next block may be proportional to its stake. Since this model utilizes fewer resources, the blockchain may forego a reward as incentive for publishing the next block. The round robin model is generally used by permissioned blockchain networks. Using this model, nodes may take turns to publish new blocks. In the proof of elapsed time model, each publishing node requests a wait time from a secure hardware within their computer system. The publishing node may become idle for the duration of the wait time and then creates and publishes a block to the blockchain network. As an example, in cases where there is a need for speed and/or scalability (e.g. in the context of a corporate environment), a hybrid blockchain network may switch to be between completely or partially permissioned and permissionless. The network may switch based on various factors, such as latency, security, market conditions, etc.

#### (82) Forks

(83) As discussed above, consensus models may be utilized for determining an order of events on a blockchain, such as which node gets to add the next block and which node's transaction gets verified first. When there is a conflict related to the ordering of events, the result may be a fork in the blockchain. A fork may cause two versions of the blockchain to exist simultaneously. Consensus methods generally resolve conflicts related to the ordering of events and thus, prevent forks from occurring. In some cases, a fork may be unavoidable. For example, with a proof of work consensus model, only one of the nodes competing to solve a puzzle may win by solving its puzzle first. The winning node's block is then validated by the network. If the winning node's block is successfully validated by the network, then it will be the next block added to the blockchain. However, it may be the case that two nodes may end up solving their respective puzzles at the same time. In such a scenario, the blocks of both winning nodes may be broadcasted to the network. Since different nodes may receive notifications of a different winning node, the nodes that receive

notification of the first node as the winning node may add the first node's block to their copy of the blockchain. Nodes that receive notification of the second node as the winning node may add the second node's block to their copy of the blockchain. This results in two versions of the blockchain or a fork. This type of fork may be resolved by the longest chain rule of the proof of work consensus model. According to the longest chain rule, if two versions of the blockchain exist, then the chain with a larger number of blocks may be considered to be the valid blockchain. The other version of the blockchain may be considered as invalid and discarded or orphaned. Since the blocks created by different nodes may include different transactions, a fork may result in a transaction being included in one version of the blockchain and not the other. The transactions that are in a block of a discarded blockchain may be returned to a queue and wait to be added to a next block.

(84) In some cases, forks may result from changes related to the blockchain implementation, for example, changes to the blockchain protocols and/or software. Forks may be more disruptive for permissionless and globally distributed blockchain networks than for private blockchain networks due to their impact on a larger number of users. A change or update to the blockchain implementation that is backwards compatible may result in a soft fork. When there is a soft fork, some nodes may execute the update blockchain implementation while other nodes may not. However, nodes that do not update to the new blockchain implementation may continue to transact with updated nodes.

(85) A change to the blockchain implementation that is not backwards compatible may result in a hard fork. While hard forks are generally intentional, they may also be caused by unintentional software bugs/errors. In such a case, all publishing nodes in the network may need to update to the new blockchain implementation. While publishing nodes that do not update to the new blockchain implementation may continue to publish blocks according to the previous blockchain implementation, these publishing nodes may reject blocks created based on the new blockchain implementation and continue to accept blocks created based on the previous blockchain implementation. Therefore, nodes on different hard fork versions of the blockchain may not be able to interact with one another. If all nodes move to the new blockchain implementation, then the previous version may be discarded or abandoned. However, it may not be practical or feasible to update all nodes in the network to a new blockchain implementation, for example, if the update invalidates specialized hardware utilized by some nodes.

(86) Blockchain-Based Application: Cryptocurrency

(87) Cryptocurrency is a medium of exchange that may be created and stored electronically in a blockchain, such as a the blockchain **130a** in FIG. **1**. Bitcoin is one example of cryptocurrency, however there are several other cryptocurrencies. Various encryption techniques may be used for creating the units of cryptocurrency and verifying transactions. As an example, the first user **110** may own 10 units of a cryptocurrency. The blockchain **130a** may include a record indicating that the first user **110** owns the 10 units of cryptocurrency. The first user **110** may initiate a transfer of the 10 units of cryptocurrency to the second user **115** via a wallet application executing on the first client device **120**. The wallet application may store and manage a private key of the first user **110**. Examples of the wallet device include a personal computer, a laptop computer, a smartphone, a personal data assistant (PDA), etc.

(88) FIG. **6A** is a flow diagram showing steps of an example method **600** for performing a blockchain transaction between entities, such as the first user **110** of the first client device **120** and the second user **115** of the second client device **125** in FIG. **1**. The steps of the method **600** may be performed by any of the computing devices shown in FIG. **1**. Alternatively or additionally, some or all of the steps of the method **600** may be performed by one or more other computing devices. Steps of the method **600** may be modified, omitted, and/or performed in other orders, and/or other steps added.

(89) At step **605**, the wallet application may generate transaction data for transferring the 10 units of cryptocurrency from the first user **110** to the second user **120**. The wallet application may

generate a public key for the transaction using the private key of the first user **110**. In order to indicate that the first user **110** is the originator of the transaction, a digital signature may also be generated for the transaction using the private key of the first user **110**. As discussed with reference to FIG. 4, the transaction data may include information, such as a blockchain address of the sender **430**, the digital signature **455**, transaction output information **460**, and the public key of the sender **415**. The transaction data may be sent to the first server **150** from the first client device **125**.

(90) The first server **150** may receive the transaction data from the first client device **125**. At step **610**, the first server **150** may broadcast the transaction to the blockchain network **130a**. The transaction may be received by one or more nodes **205** of the blockchain network **130a**. At step **615**, upon receiving the transaction, a node **205** may choose to validate the transaction, for example, based on transaction fees associated with the transaction. If the transaction is not selected for validation by any of the nodes **205**, then the transaction may be placed in a queue and wait to be selected by a node **205**.

(91) At step **620**, each of the nodes **205** that selected the transaction may validate the transaction. Validating the transaction may include determining whether the transaction is legal or conforms to a pre-defined set of rules for that transaction, establishing user authenticity, and establishing transaction data integrity. At step **625**, if the transaction is successfully validated by a node **205**, the validated transaction is added to a block being constructed by that node **205** (step **630**). As discussed above, since different nodes **205** may choose to validate different transactions, different nodes **205** may build or assemble a block comprising different validated transactions. Thus, the transaction associated with the first user **110** transferring 10 units of cryptocurrency to the second user **115** may be included in some blocks and not others.

(92) At step **635**, the blockchain network **130a** may wait for a block to be published. Validated transactions may be added to the block being assembled by a node **205** until it reaches a minimum size specified by the blockchain. If the blockchain network **130a** utilizes a proof of work consensus model, then the nodes **205** may compete for the right to add their respective blocks to the blockchain by solving a complex mathematical puzzle. The node **205** that solves its puzzle first wins the right to publish its block. As compensation, the winning node may be awarded a transaction fee associated with the transaction (e.g., from the wallet of the first user **110**). Alternatively, or in addition, the winning node may be awarded compensation as an amount of cryptocurrency added to an account associated with the winning node from the blockchain network (e.g., “new” units of cryptocurrency entering circulation). This latter method of compensation and releasing new units of cryptocurrency into circulation is sometimes referred to as “mining.” At step **640**, if a block has not been published, then the process **600** returns to step **635** and waits for a block to be published. However, at step **640**, if a block has been published, then the process **600** proceeds to step **645**.

(93) At step **645**, the published block is broadcast to the blockchain network **130a** for validation. At step **650**, if the block is validated by a majority of the nodes **205**, then at step **655**, the validated block is added to the blockchain **220**. However, at step **650**, if the block is not validated by a majority of the nodes **205**, then the process **600** proceeds to step **675**. At step **675**, the block is discarded and the transactions in the discarded block are returned back to the queue. The transactions in the queue may be selected by one or more nodes **205** for the next block. The node **205** that built the discarded block may build a new next block.

(94) At step **660**, if the transaction was added to the blockchain **220**, the server **150** may wait to receive a minimum number of blockchain confirmations for the transaction. At step **665**, if the minimum number of confirmations for the transaction have not been received, then the process may return to step **660**. However, if at step **665**, the minimum number of confirmations have been received, then the process proceeds to step **670**. At step **670**, the transaction may be executed and assets from the first user **110** may be transferred to the second user **115**. For example, the 10 units of cryptocurrency owned by the first user **110** may be transferred from a financial account of the



first user **110** to a financial account of the second user **115** after the transaction receives at least three confirmations.

(95) Smart Contracts

(96) A smart contract is an agreement that is stored in a blockchain and automatically executed when the agreement's predetermined terms and conditions are met. The terms and conditions of the agreement may be visible to other users of the blockchain. When the pre-defined rules are satisfied, then the relevant code is automatically executed. The agreement may be written as a script using a programming language such as Java, C++, JavaScript, VBScript, PHP, Perl, Python, Ruby, ASP, Tcl, etc. The script may be uploaded to the blockchain as a transaction on the blockchain.

(97) As an example, the first user **110** (also referred to as tenant **110**) may rent an apartment from the second user **115** (also referred to as landlord **115**). A smart contract may be utilized between the tenant **110** and the landlord **115** for payment of the rent. The smart contract may indicate that the tenant **110** agrees to pay next month's rent of \$1000 by the 28.sup.th of the current month. The agreement may also indicate that if the tenant **110** pays the rent, then the landlord **115** provides the tenant **110** with an electronic receipt and a digital entry key to the apartment. The agreement may also indicate that if the tenant **110** pays the rent by the 28.sup.th of the current month, then on the last day of the current month, both the entry key and the rent are released respectively to the tenant **110** and the landlord **115**.

(98) FIG. 6B is a flow diagram showing steps of an example method **601** for performing a smart contract transaction between entities, such as the tenant **110** and the landlord **115**. The steps of the method **601** may be performed by any of the computing devices shown in FIG. 1. Alternatively or additionally, some or all of the steps of the method **601** may be performed by one or more other computing devices. Steps of the method **601** may be modified, omitted, and/or performed in other orders, and/or other steps added.

(99) At step **676**, the agreement or smart contract between the tenant **110** and the landlord **115** may be created and then submitted to the blockchain network **130a** as a transaction. The transaction may be added to a block that is mined by the nodes **205** of the blockchain network **130a**, the block comprising the transaction may be validated by the blockchain network **130a** and then recorded in the blockchain **220** (as shown in steps **610-655** in FIG. 6A). The agreement associated with the transaction may be given a unique address for identification.

(100) At step **678**, the process **601** waits to receive information regarding the conditions relevant for the agreement. For example, the process **601** may wait to receive notification that \$1000 was sent from a blockchain address associated with the tenant **110** and was received at a blockchain address associated with the landlord **115** by the 28.sup.th of the current month. At step **680**, if such a notification is not received, then the process **601** returns to step **678**. However, if at step **680**, a notification is received, then the process **601** proceeds to step **682**.

(101) At step **682**, based on determining that the received notification satisfies the conditions needed to trigger execution of the various terms of the smart contract, the process **601** proceeds to step **684**. However, at step **682**, if it is determined that the received notification does not satisfy the conditions needed to trigger execution of the smart contract, then the process **601** returns to step **678**. At step **684**, the process **601** creates and records a transaction associated with execution of the smart contract. For example, the transaction may include information of the payment received, the date the payment was received, an identification of the tenant **110** and an identification of the landlord **115**. The transaction may be broadcast to the blockchain network **130a** and recorded in the blockchain **220** (as shown in steps **610-655** of the process **600** of FIG. 6A). If the transaction is successfully recorded in the blockchain **220**, the transaction may be executed. For example, if the payment was received on the 28.sup.th, then an electronic receipt may be generated and sent to the tenant **110**. However, on the last day of the current month, both the digital entry key and the rent are released respectively to the tenant **110** and the landlord **115**.

(102) Smart contracts may execute based on data received from entities that are not on the

blockchain or off-chain resources. For example, a smart contract may be programmed to execute if a temperature reading from a smart sensor or IoT sensor falls below 10 degrees. Smart contracts are unable to pull data from off-chain resources. Instead, such data needs to be pushed to the smart contract. Additionally, even slight variations in data may be problematic since the smart contract is replicated across multiple nodes of the network. For example, a first node may receive a temperature reading of 9.8 degrees and a second node may receive a temperature reading of 10 degrees. Since validation of a transaction is based on consensus across nodes, even small variations in the received data may result in a condition of the smart contract to be evaluated as being not satisfied. Third party services may be utilized to retrieve off-chain resource information and push this to the blockchain. These third-party services may be referred to as oracles. Oracles may be software applications, such as a big data application, or hardware, such as an IoT or smart device. For example, an oracle service may evaluate received temperature readings beforehand to determine if the readings are below 10 degrees and then push this information to the smart contract. However, utilizing oracles may introduce another possible point of failure into the overall process. Oracles may experience errors, push incorrect information or may even go out of business.

(103) Since blockchains are immutable, amending or updating a smart contract that resides in a blockchain may be challenging and thus, more expensive and/or more restrictive than with text-based contracts.

(104) Internet of Things (IoT)

(105) An IoT network may include devices and sensors that collect data and relay the data to each other via a gateway. The gateway may translate between the different protocols of the devices and sensors as well as manage and process the data. IoT devices may, for example, collect information from their environments such as motions, gestures, sounds, voices, biometric data, temperature, air quality, moisture, and light. The collected information sent over the Internet for further processing. Typically, IoT devices use a low power network, Bluetooth, WiFi, or satellite to connect to the Internet or “the cloud”. Some IoT related issues that blockchain may be able to detect include a lack of compliance in the manufacturing stage of an IoT device. For example, a blockchain may track whether an IoT device was adequately tested.

(106) As discussed above, information from off-chain resources, including IoT devices, may be pushed to smart contracts via third party entities known as oracles. As an example, a smart refrigerator may monitor the use of an item stored in the refrigerator, such as milk. Various sensors within the refrigerator may be utilized for periodically determining an amount of milk stored in the refrigerator. A smart contract stored in a blockchain may indicate that if the weight of the stored milk falls below 10 ounces, then a new carton of milk is automatically purchased and delivered. The refrigerator sensors may periodically send their readings to a third-party service or oracle. The oracle may evaluate the sensor readings to determine whether the conditions for purchasing a new carton of milk have been met. Upon determining that the weight of the stored milk is below 10 ounces, the oracle may push information to the smart contract indicating that the condition for executing the smart contract has been met. The smart contract may be executed and a new carton of milk may be automatically purchased. Both the execution of the smart contract and the purchase of the new carton may be recorded in the blockchain. In some cases, the condition may be an occurrence of an event, such as a need or anticipated need, or convenience factors, such as a delivery day, cost, promotions, or incentives.

(107) Some issues related to the integration of blockchain into IoT include speed of transactions and computational complexity. The speed at which transactions are executed on the blockchain may be important when IoT networks with hundreds or thousands of connected devices are all functioning and transacting simultaneously. IoT devices are generally designed for connectivity rather than computation and therefore, may not have the processing power to support a blockchain consensus algorithm, such as proof of work. IoT devices also tend to be vulnerable to hacking via the Internet and/or physical tampering. For example, IoT devices may be more vulnerable to DDoS

and malware attacks. Hackers may target a specific network and begin spamming the network with traffic within a short amount of time. Because of the increased surge in traffic, the bandwidth may be quickly overloaded, and the entire system may crash.

(108) Supply Chain Monitoring and Logistics

(109) A supply chain for a product may include a network of entities and activities that are involved in the creation of the product and its eventual sale to a customer. A blockchain based record of the supply chain for a product may be utilized, for example, to trace the provenance of parts and materials and to prevent counterfeit parts from entering the supply chain. Blockchain integration into the supply chain for a product may utilize IoT devices and data, oracles, and smart contracts. For example, an RFID tag may be attached to a product in order to physically track the product and record its location within the supply chain. Additionally, smart contracts may be utilized to record the various activities and interactions between entities that are involved in the product's supply chain. As discussed above with reference to FIGS. 6A and 6B, any data or information that may be digitally represented and electronically stored may be recorded in a blockchain by submitting the data as part of a blockchain transaction. When the transaction is included in a validated block that is added to the blockchain, the transaction and its associated data is recorded in the blockchain.

(110) As an example, a permissioned blockchain may be utilized for recording and monitoring the entities and activities involved in food distribution, such as fruit or vegetables. The blockchain may be accessible to entities, such as the suppliers of seed and pesticides, farmers, distributors, grocery stores, customers, and regulators. The blockchain may record activities such as the sale of a pesticide and/or seed to the farmer, the harvesting and packaging of the fruit, its shipment to distributors' warehouses, its arrival at various stores, and eventual purchase by a consumer. Sensors and RFID devices may be utilized for tracking the fruit through the supply chain. For example, the fruit may be packaged in crates tagged with a unique RFID device. When the tagged crate is loaded onto a truck for shipment from the farm to a distributor, the crate may be scanned, and a record of its shipment may be uploaded to the blockchain. When the crate arrives at a warehouse, it may be scanned again and a record of its arrival at the warehouse may be uploaded to the blockchain. Additionally, smart contracts may be executed throughout the supply chain. For example, when the crate is scanned at the warehouse, a smart contract between the farmer and the warehouse may be executed indicating that the crate was successfully shipped from the farmer to the warehouse and received by the warehouse.

(111) As another example, a permissioned blockchain for an automobile may store a record of entities and activities related to a component that is utilized in the manufacturing of the automobile. The blockchain may be accessible to various entities, such as automobile OEMs, distributors and suppliers of materials and components, dealerships, mechanics, insurance providers, and others. While evaluating an accident involving a policy holder's automobile, first user **110** (an insurance provider **110** in this example) may determine that the accident may have been caused by a defective component used in a wheel of the automobile. The insurance provider **110** may wish to trace a provenance of the component based on information recorded in the permissioned blockchain. The insurance provider **110** may query the blockchain data for information related to the component via, for example, a blockchain querying application executing on the first client device **120**. The query may include identifying information associated with the component. For example, the component may be marked with an identification that is unique to the component or a group of components. The results of the query may include records in the blockchain of the entities and activities that were involved in the creation of the component and its eventual sale to the automobile manufacturer.

(112) Blockchain Enabled In-Store Purchasing

(113) An example of blockchain enabled in-store purchasing is described with reference to the system **800** shown in FIG. 8, the process **600** shown in FIG. 6A and the process **601** shown in FIG. 6B. FIG. 8 illustrates an example of a blockchain enabled in-store purchase system **800**. The

system **800** includes a mobile device **805**, a merchant system **810**, and a server **850** connected via a network **840**. The merchant system **810** may be connected via a local wireless network to various IoT devices within a store, for example, an in-store smart shelf **815**, and an in-store smart checkout detector **830**.

(114) The store may include one or more smart shelves, such as the in-store smart shelf **815**. The smart shelf **815** may include an RFID tag, an RFID reader, and an antenna. One or more products may be stored on the in-store smart shelf **815**. Each product may include an RFID tag, such as a first product tag **820a** attached to a first product **816a** and a second product tag **820b** attached to a second product **816b**. The in-store smart shelf **815** may, based on reading the product tags **820a** and **820b**, send information about the products **816a** and **816b** throughout the day to the merchant system **810**. The merchant system **810** may in turn update an inventory of products currently within the store.

(115) A shopper may travel through the store with the mobile device **805**. A digital shopping list on the mobile device **805** may include a list of items that the shopper may need to purchase. For example, the shopping list may include an item that matches the first product **816a**. When the shopper is close to the in-store smart shelf **815**, the mobile device **805** may notify the shopper that the first product **816a** is currently available on the in-store smart shelf **815**. The shopper may remove the first product **816a** from the in-store smart shelf **815** and place it into a smart shopping cart **835**. The smart shopping cart **835** may read the first product tag **820a** as well as the product tags attached to other products that may have been placed in the smart shopping cart **835**. When the shopper is ready to checkout, the shopper may walk out of the store with the shopping cart **835**. As the shopper walks out of the store, the in-store smart checkout detector **830** may detect the smart shopping cart **835**. The smart shopping cart **835** may communicate with the in-store smart checkout detector **830** and transmit information about the products in the smart shopping cart. The in-store smart checkout detector **830** may send information about the products, such as the first product **816a**, and payment information from the mobile device **805** to the merchant system **810**. The merchant system **810** may receive information from the in-store smart checkout detector **830** and the payment information and proceed to initiate purchase of the first product **816a**.

(116) Referring to step **605** of the process **600** shown in FIG. **6A**, a wallet application on the mobile device **805** may generate transaction data for transferring an amount of cryptocurrency matching the sale price of the first product **816a** from the shopper to the merchant. The wallet application may generate a public key for the transaction using the private key of the shopper. In order to indicate that the shopper is the originator of the transaction, a digital signature may also be generated for the transaction using the private key of the shopper. The transaction data may be sent to the server **850** from the mobile device **805**.

(117) The server **850** may receive the transaction data from the mobile device **805**. At step **610**, the server **850** may broadcast the transaction to the blockchain network **130a**. The transaction may be received by one or more nodes **205** of the blockchain network **130a**. At step **615**, upon receiving the transaction, a node **205** may choose to validate the transaction, for example, based on transaction fees associated with the transaction. If the transaction is not selected for validation by any of the nodes **205**, then the transaction may be placed in a queue and wait to be selected by a node **205**.

(118) At step **620**, each of the nodes **205** that selected the transaction may validate the transaction. At step **625**, if the transaction is successfully validated by a node **205**, the validated transaction is added, at step **630**, to a block being constructed by that node **205**. At step **635**, the blockchain network **130a** may wait for a block to be published. At step **640**, if a block has not been published, then the process **600** returns to step **635** and waits for a block to be published. However, at step **640**, if a block has been published, then the process **600** proceeds to step **645**.

(119) At step **645**, the published block is broadcast to the blockchain network **130a** for validation. At step **650**, if the block is validated by a majority of the nodes **205**, then at step **655**, the validated

block is added to the blockchain **220**. At step **660**, if the transaction was added to the blockchain **220**, the server **850** may wait to receive a minimum number of blockchain confirmations for the transaction. At step **665**, if the minimum number of confirmations for the transaction have not been received, then the process may return to step **660**. However, if at step **665**, the minimum number of confirmations have been received, then the process proceeds to step **670**. At step **670**, the transaction may be executed and the sale price of the first product **816a** may be transferred from the shopper to the merchant.

(120) When the in-store smart checkout detector **830** sends information about the products, such as the first product **816a**, and payment information from the mobile device **805** to the merchant system **810**, a smart contract may be created between the shopper and the merchant and executed according to the process **601** shown in FIG. **6B**. For example, at step **676**, a smart contract between the shopper and the merchant may be created and then submitted to the blockchain network **130a** as a transaction. For example, at step **678**, the process **601** may wait to receive notification that an amount of cryptocurrency equal to the sale price of the first product **816a** was sent from a blockchain address associated with the shopper and was received at a blockchain address associated with the merchant by the time the first product **816a** is removed from the smart shopping cart **835**. If the payment for the first product **816a** was successfully transferred from the shopper to the merchant by the time the shopper removes the first product **816a** from the smart shopping cart **835**, then an electronic receipt may be generated and sent to the shopper. Otherwise, the merchant system **815** may be alerted that the shopper is attempting to leave the premises without paying for the first product **816a**.

(121) Blockchain Enabled In-Vehicle Purchasing

(122) An example of blockchain enabled in-vehicle purchasing is described with reference to the system **900** shown in FIG. **9**, the process **600** shown in FIG. **6A** and the process **601** shown in FIG. **6B**. FIG. **9** illustrates an example system **900** for blockchain enabled in-vehicle purchasing. The system **900** includes an IoT enable smart vehicle **908**. The vehicle **908** may include one or more computing devices implementing a vehicle system **910**, a vehicle navigation system **930**, a payment system **960** and a fuel management system **935**. The vehicle **908** may include a RFID tag, such as a vehicle identification tag **912**. The system **900** may also include various merchant systems, such as a fuel merchant system **915**, and a toll booth system **916**. The system **900** may also include a mobile device **905** belonging to a driver of the vehicle **908**.

(123) When the driver gets into the vehicle **908**, payment information may be loaded from the driver's mobile device **905** into the vehicle payment system **910** so it is available for secure payments to other devices in order to complete in-vehicle purchases, such as in-vehicle purchase of fuel and in-vehicle payment of tolls. The driver of the smart vehicle may pay for parking, fast food, using the IoT enabled smart vehicle **908**. Additionally, the IoT enabled smart vehicle **908** may also facilitate in-vehicle purchasing of smartphone apps, music, audio books, and other goods and services.

(124) The fuel management system **935** may perform various functions related to fuel usage and communicate with the vehicle system **916**. For example, the fuel management system **935** may monitor fuel usage and based on detecting that the fuel is below a threshold, notify the vehicle system **910**. The vehicle system **910** may communicate with the vehicle navigation system **930** to determine nearby fuel stations. The selection of a fuel station to may be based on various factors, such as the availability of fuel at nearby fuel stations, the vehicle's current route and location, incentives that may be offered by nearby fuel stations, etc. The vehicle system **910** may notify the driver about the selection of a fuel station and the vehicle **908** may be re-routed to the selected fuel station. Upon arriving at the selected fuel station, the driver may pull up to a fuel pump. The fuel pump may include a fuel pump system **965** configured to detect the RFID tags of vehicles, such as the vehicle identification tag **912** in order to obtain an identification of the vehicles. The fuel pump system **965** and the payment system **960** may be configured to communicate with each other. The

fuel payment system **960** may send payment information to the fuel pump system **965**. After the driver has completed re-fueling, the driver may simply drive away. The fuel pump system **965** may send the fuel merchant system **915** information about the identification of the vehicle **908**, the amount of fuel purchased, and the payment information. The fuel merchant system **915** may use the information to complete a transaction with the driver for the purchase of the fuel. For example, the fuel merchant system **915** may communicate with the server **950** to charge the driver for the fuel according to the process **600** shown in FIG. 6A. Additionally, the fuel merchant system **915** may communicate with the server **950** in order to create a smart contract between the driver and the fuel merchant. The smart contract may be created and executed according to the process **601** shown in FIG. 6B.

(125) Augmented Reality (AR), Mixed Reality and Blockchain Based E-Commerce

(126) AR or mixed reality enabled devices, such as wearable smart glasses, head mounted devices, holographic devices, or smartphone applications overlay digital content on top of a real world view, thus, enhancing a user's experience of the real world. The overlay content may be 3D models generated based on 3D scanning real world objects. AR enables users to experience online shopping in a virtual environment. For example, using AR, browse virtual stores and view 3D models of items for sale in virtual stores. Just as in the real world, customers may be able to handle and examine various physical details of the products. Blockchain smart contracts may be utilized to provide an e-commerce platform where customers may purchase items from online merchants with cryptocurrency and digital wallets. Information about a product, such as country of origin, materials, ingredients, price, description, measurements, terms and conditions, 3D model of the physical product, etc., may be hashed and recorded in a blockchain. This provides proof of ownership of virtual goods and products and enables accurate tracking of any changes made to this information. Artificial intelligence (AI) may be utilized for generating 3D models of products based on 2D images of the products. Smart contracts may be utilized to conduct transactions between merchants and customers.

(127) As an example, a customer may shop for clothing by browsing different stores in a virtual shopping mall via a wearable AR device, such as a pair of smart glasses. The customer may examine a 3D model of a shirt as he or she would in the real world. Additionally, the customer may virtually try on the shirt using a 3D model of the customer's body. If the customer decides to purchase the shirt, the customer may initiate a transaction with the merchant of the store. A transaction may be submitted to the blockchain via the customer's digital wallet to transfer money (cryptocurrency) from the customer to the merchant. Various smart contracts may be utilized to implement various aspects of the e-commerce process. For example, based on detecting that the sale price of the shirt has been successfully transferred from the customer to the merchant, a smart contract may be executed to initiate shipment of the shirt from the merchant's warehouse to the customer. As described above with reference to supply chain monitoring and tracking, RFID tags and other IoT devices may be utilized to track the shipment of the shirt from the merchant's warehouse to the delivery of the shirt to the customer's residence.

(128) Quantum Computing

(129) One of the concerns of quantum computing is that it may increase the probability of breaking cryptographic algorithms and thus, weaken overall security for the blockchain. This may be addressed by requiring larger key sizes for some cryptographic algorithms or switching to quantum-proof algorithms. In some cases, if there is a concern that a block may be decrypted in the future, a dynamically changing cryptographic hash may be utilized. A different cryptographic hash may be dynamically selected for a particular block or the entire blockchain based on various factors, such as whether there is a concern that the block will be decrypted in the future, increasing a strength of the hash, utilizing a hash that is better suited for protecting privacy. In some cases, different cryptographic hashes may be selected for different blocks.

(130) Anonymity and Privacy

(131) As discussed above, the use of a private/public key pair to establish user authenticity during validation of a blockchain transaction provides some privacy as it does not reveal user identity. However, the transactions stored on a blockchain may be visible to the public. It has been shown that user identity may be derived from the publicly available transaction information.

#### (132) Blockchain Size

(133) Depending on a frequency at which events are recorded in a blockchain, the size of the blockchain may grow quickly. Computing/storage capacity (i.e., faster processors, larger storage components) may be needed to support the expansion of the blockchain. In some cases, blocks may be compressed prior to being added to the chain. In some cases, blocks may be eliminated, for example, at the beginning of the blockchain, when they become stale or irrelevant. As an example, a method for “replacing” the first 1000 transactions with a new block that effectively mimics the hash of the 1000 transactions may be useful for managing blockchain size.

#### (134) Blockchain Immutability

(135) In some cases, content in a blockchain may need to be deleted. For example, content may need to be deleted if there is a security breach or if the content is no longer relevant. A level of immutability of a blockchain may depend on a type of the blockchain. For example, changing content may be difficult in a public blockchain due to its possible impact on a large number of users. According to some techniques, data stored in a private blockchain, or a public blockchain controlled by a few entities may be changed by recording a flag (current block) where the change is being made, and adding the current block (referred to by the flag) to the blockchain. The added block may then indicate the change made to the previous block.

(136) As another example, a blockchain may need to be changed to resolve a broken link. For example, the hash of a changed block may no longer match the hash stored in the block+1. In some cases, the blockchain may need to be changed in order to reverse the results of illegal transactions. In some cases, the blockchain may need to be changed to address software errors, erroneous transactions, or remove information that is confidential or required by law to be removed. If the blockchain is immutable, these errors and information may be permanently embedded in the blockchain. Additionally, the blockchain may need to be changed to comply with regulatory concerns, such as the European Union's incoming General Data Protection Regulation (GDPR), or California Consumer Privacy Act (CCPA), regarding consumer data privacy and ownership rights, US Fair Credit Reporting Act, and the SEC's “Regulation SP,” which require that recorded user identifiable personal financial data be redactable.

(137) Some techniques may allow modifications to the blockchain to address software errors, legal and regulatory requirements, etc., by allowing designated authorities to edit, rewrite or remove previous blocks of information without breaking the blockchain. Such techniques may enable blockchain editing by using a variation of a “chameleon” hash function, through the use of secure private keys. This editing may allow smart contracts that were flawed at issue to be updated so that the changes carry over to subsequent smart contracts in the blockchain. Using these techniques, blocks that have been changed may be using a “scar” or mark that cannot be removed, even by trusted parties.

(138) According to some techniques, when a block is hashed, any confidential information, such as personally identifiable information, and IP addresses, is not included in the block because it is not part of the data values that were hashed. But because there is no hash of the confidential information, it may be changed. According to some techniques, the confidential information may not be placed or recorded into the blockchain. Rather the information may reside in a file that is external to the blockchain. A hash of that file, however, may be recorded in the blockchain. For example, a user's confidential information may be deleted locally without affecting the blockchain.

(139) As another example, assuming that all content included in a block in a blockchain cannot be changed after a block is added to the blockchain, a determination may be made before adding data to the blockchain of whether some or all of that data may need to be deleted at a later time. For

example, confidential information (i.e., data to be deleted at a later time) may be stored as a file that is external to the block and the blockchain. For the purposes of creating the block, a link to the file containing the confidential information and a hash of the file containing the confidential information file may be added to the block. An example of a link would be an HTTP link. During confirmation of the block that is to be added to the blockchain, the network nodes may be able to access the confidential information and verify that the confidential information based on the hash value of the file in the block. Because the hash value of the file is a part of the block, the file containing the confidential information may not be easily changed. However, it may be possible to change the confidential information file by changing the data therein and adding a nonce. This may seek to change the nonce until the resulting hash equals the hash that is stored in the blockchain. However, this would be difficult (probably near impossible), and an inspection of the modified confidential information file would reveal the added nonce, which may then raise suspicion that information was changed since it was first added to the blockchain.

(140) Files containing confidential information may be encrypted (e.g., through an asymmetric key encryption function) prior to the hashing operation. When “deleting” the confidential information, the file containing the confidential information may be deleted or removed resulting in the link, which is stored in the blockchain, being ineffective for retrieving the file. The hash of the file, and the link, remain in the blockchain so that the linking of the blocks through hash functions is not affected. However, because of this change, a transaction that is part of the block or part of a different special block could be added to the blockchain to indicate that the link is no longer effective and the confidential information file is no longer part of the blockchain. This may effectively keep confidential information out of the blockchain while providing the confidential information to users of the blockchain and proof of authenticity of the confidential information before it is deleted from the blockchain. This may come with drawbacks because access to data implies that such data may be stored. Accordingly, those with access to the confidential information file, while it was part of the blockchain, may have stored that information in another location that may no longer be reachable during the “deleting” operation discussed above.

(141) 51% Attack

(142) A “51% attack” refers to an individual mining node or a group of mining nodes controlling more than 50% of a blockchain network's mining power, also known as hash rate or hash power. The hash rate is a measure of the rate at which hashes are being computed on the blockchain network. As described above, hashing may include taking an input string of a given length, and running it through a cryptographic hash function in order to produce an output of a fixed length. A blockchain network's hash rate may be expressed in terms of 1 KH/s (kilohash per second) which is 1,000 hashes per second, 1 MH/s (megahash per second) which is 1,000,000 hashes per second, 1 TH/s (terahash per second) which is 1,000,000,000,000 hashes per second, or 1 PH/s (petahash per second) which is 1,000,000,000,000,000 hashes per second. As an example, a mining node in a blockchain utilizing a proof of work consensus model (PoW) may perform hashing in order to find a solution to a difficult mathematical problem. The hash rate of the mining node may depend on the computational resources available to that node. A mining node that successfully solves the mathematical problem may be able to add a block to the blockchain. Thus, by ensuring that invalid transactions cannot be included in a block, mining nodes increase the reliability of the network. Transactions may be deemed invalid if they attempt to spend more money than is currently owned or engage in double spending. If a mining node intentionally or unintentionally includes an invalid transaction in a block, then the block will not be validated by the network. Additionally, nodes that accept the invalid block as valid and proceed to add blocks on top of the invalid block will also end up wasting computational resources. Thus, mining nodes are discouraged from cheating by intentionally adding invalid transactions to blocks and accepting invalid blocks as valid.

(143) An entity may be able to disrupt the network by gaining control of 50% of a network's hash rate. In a 51% attack, a blockchain node may intentionally reverse or overwrite transactions and



engage in double spending. When a node generates a valid block of transactions, it broadcasts the block to the network for validation. In some cases, a node controlling more than 50% of a network's hash rate may mine blocks in private without broadcasting them to the network. In such a scenario, the rest of the network may follow a public version of the blockchain while the controlling node may be following its private version of the blockchain. FIG. 7A shows a fraudulent and valid version of a blockchain **700**. The valid blockchain on the top comprises the valid blocks **705**, **710a**, **715a**, and **720**. The fraudulent blockchain on the bottom is not broadcast to the network and includes the blocks **705**, **710b**, **715b**, and an invalid block **720**.

(144) FIG. 71B shows another fraudulent and valid version of a blockchain. The valid version of the blockchain includes nodes **740**, **745a**, **750a**, and **755a**. The fraudulent version of the blockchain includes nodes **740**, **745b**, **750b**, **755b**, and **775**. However, following the longest chain rule, the network may select and utilize the private or fraudulent blockchain comprising nodes **740**, **745b**, **750b**, **755b** and **775**. Since it is the longest chain, previous transactions may be updated according to this chain. The cheating node may include transactions that spend money, such as the block **750b** including the transaction for 150 BTC, on the public or fraudulent version of the blockchain without including these transactions in the private version of the blockchain. Thus, in the private version of the blockchain, the cheating node may continue to own the spent 150 BTC. When the cheating node controls more than 50% of the hashing resources of the network, it may be able to broadcast its private version of the blockchain and continue to create blocks on the private blockchain faster than the rest of the network, thus, resulting in a longer blockchain. Since there are two versions of the blockchain, the network may select the longest or fraudulent private blockchain as the valid blockchain. As a result, the rest of the network may be forced to use the longer blockchain. The public or valid version of the blockchain may then be discarded or abandoned and all transactions in this blockchain that are not also in the private or fraudulent version of the blockchain may be reversed. The controlling or cheating node may continue to own the spent money because the spending transactions are not included on the fraudulent version of the blockchain, and the cheating node may, therefore, spend that money in future transactions.

(145) Because of the financial resources needed to obtain more hashing power than the rest of the entire network combined, a successful 51% attack may generally be challenging to achieve. However, it would be less expensive to achieve a 51% attack on a network with a lower hash rate than one with a higher hash rate. Additionally, the probability of a successful 51% attack increases with the use of mining pools in which multiple nodes may combine their computational resources, for example, when mining is performed from the same mining pool.

(146) Computing Device

(147) FIG. 10 shows a system **1000**. The system **1000** may include at least one client device **1010** (also referred to as “control processing device”), at least one database system **1020**, and/or at least one server system **1030** in communication via a network **1040**. It will be appreciated that the network connections shown are illustrative and any means of establishing a communications link between the computers may be used. The existence of any of various network protocols such as TCP/IP, Ethernet, FTP, HTTP and the like, and of various wireless communication technologies such as GSM, CDMA, WiFi, and LTE, is presumed, and the various computing devices described herein may be configured to communicate using any of these network protocols or technologies. Any of the devices and systems described herein may be implemented, in whole or in part, using one or more computing systems described with respect to FIG. 10.

(148) Client device **1010** may access server applications and/or resources using one or more client applications (not shown) as described herein. Client device **1010** may be a mobile device, such as a laptop, smart phone, mobile phones, or tablet, or computing devices, such as a desktop computer or a server, wearables, embedded devices. Alternatively, client device **1010** may include other types of devices, such as game consoles, camera/video recorders, video players (e.g., incorporating DVD, Blu-ray, Red Laser, Optical, and/or streaming technologies), smart TVs, and other network-

connected appliances, as applicable.

(149) Database system **1020** may be configured to maintain, store, retrieve, and update information for server system **1030**. Further, database system **1020** may provide server system **1030** with information periodically or upon request. In this regard, database system **1020** may be a distributed database capable of storing, maintaining, and updating large volumes of data across clusters of nodes. Database system **1020** may provide a variety of databases including, but not limited to, relational databases, hierarchical databases, distributed databases, in-memory databases, flat file databases, XML databases, NoSQL databases, graph databases, and/or a combination thereof.

(150) Server system **1030** may be configured with a server application (not shown) that is capable of interfacing with client application and database system **1020** as described herein. In this regard, server system **1030** may be a stand-alone server, a corporate server, or a server located in a server farm or cloud-computer environment. According to some examples, server system **1030** may be a virtual server hosted on hardware capable of supporting a plurality of virtual servers.

(151) Network **1040** may include any type of network. For example, network **1040** may include a local area network (LAN), a wide area network (WAN), a wireless telecommunications network, and/or any other communication network or combination thereof. It will be appreciated that the network connections shown are illustrative and any means of establishing a communications link between the computers may be used. The existence of any of various network protocols such as TCP/IP, Ethernet, FTP, HTTP and the like, and of various wireless communication technologies such as GSM, CDMA, WiFi, and LTE, is presumed, and the various computing devices described herein may be configured to communicate using any of these network protocols or technologies.

(152) The data transferred to and from various computing devices in a system **1000** may include secure and sensitive data, such as confidential documents, customer personally identifiable information, and account data. Therefore, it may be desirable to protect transmissions of such data using secure network protocols and encryption, and/or to protect the integrity of the data when stored on the various computing devices. For example, a file-based integration scheme or a service-based integration scheme may be utilized for transmitting data between the various computing devices. Data may be transmitted using various network communication protocols. Secure data transmission protocols and/or encryption may be used in file transfers to protect the integrity of the data, for example, File Transfer Protocol (FTP), Secure File Transfer Protocol (SFTP), and/or Pretty Good Privacy (PGP) encryption. In many embodiments, one or more web services may be implemented within the various computing devices. Web services may be accessed by authorized external devices and users to support input, extraction, and manipulation of data between the various computing devices in the system **1000**. Web services built to support a personalized display system may be cross-domain and/or cross-platform, and may be built for enterprise use. Data may be transmitted using the Secure Sockets Layer (SSL) or Transport Layer Security (TLS) protocol to provide secure connections between the computing devices. Web services may be implemented using the WS-Security standard, providing for secure SOAP messages using XML encryption. Specialized hardware may be used to provide secure web services. For example, secure network appliances may include built-in features such as hardware-accelerated SSL and HTTPS, WS-Security, and/or firewalls. Such specialized hardware may be installed and configured in the system **1000** in front of one or more computing devices such that any external devices may communicate directly with the specialized hardware.

(153) Turning now to FIG. **11**, a computing device **1105** that may be used with one or more of the computational systems is described. The computing device **1105** may include a processor **1103** for controlling overall operation of the computing device **1105** and its associated components, including RAM **1105**, ROM **1107**, input/output device **11011**, communication interface **1111**, and/or memory **1115**. A data bus may interconnect processor(s) **1103**, RAM **1106**, ROM **1107**, memory **1115**, I/O device **1109**, and/or communication interface **1111**. In some embodiments, computing device **1105** may represent, be incorporated in, and/or include various devices such as a

desktop computer, a computer server, a mobile device, such as a laptop computer, a tablet computer, a smart phone, any other types of mobile computing devices, and the like, and/or any other type of data processing device.

(154) Input/output (I/O) device **1109** may include a microphone, keypad, touch screen, and/or stylus motion, gesture, through which a user of the computing device **1105** may provide input, and may also include one or more of a speaker for providing audio output and a video display device for providing textual, audiovisual, and/or graphical output. Software may be stored within memory **1115** to provide instructions to processor **1103** allowing computing device **1105** to perform various actions. For example, memory **1115** may store software used by the computing device **1105**, such as an operating system **1117**, application programs **1119**, and/or an associated internal database **1121**. The various hardware memory units in memory **1115** may include volatile and nonvolatile, removable and non-removable media implemented in any method or technology for storage of information such as computer-readable instructions, data structures, program modules, or other data. Memory **1115** may include one or more physical persistent memory devices and/or one or more non-persistent memory devices. Memory **1115** may include, but is not limited to, random access memory (RAM) **1106**, read only memory (ROM) **1107**, electronically erasable programmable read only memory (EEPROM), flash memory or other memory technology, optical disk storage, magnetic cassettes, magnetic tape, magnetic disk storage or other magnetic storage devices, or any other medium that may be used to store the desired information and that may be accessed by processor **1103**.

(155) Communication interface **1111** may include one or more transceivers, digital signal processors, and/or additional circuitry and software for communicating via any network, wired or wireless, using any protocol as described herein.

(156) Processor **1103** may include a single central processing unit (CPU), which may be a single-core or multi-core processor, or may include multiple CPUs. Processor(s) **1103** and associated components may allow the computing device **1100** to execute a series of computer-readable instructions to perform some or all of the processes described herein. Although not shown in FIG. **11**, various elements within memory **1115** or other components in computing device **1105**, may include one or more caches, for example, CPU caches used by the processor **1103**, page caches used by the operating system **1117**, disk caches of a hard drive, and/or database caches used to cache content from database **1121**. For embodiments including a CPU cache, the CPU cache may be used by one or more processors **1103** to reduce memory latency and access time. A processor **1103** may retrieve data from or write data to the CPU cache rather than reading/writing to memory **1115**, which may improve the speed of these operations. In some examples, a database cache may be created in which certain data from a database **1121** is cached in a separate smaller database in a memory separate from the database, such as in RAM **1106** or on a separate computing device. For instance, in a multi-tiered application, a database cache on an application server may reduce data retrieval and data manipulation time by not needing to communicate over a network with a back-end database server. These types of caches and others may be included in various embodiments, and may provide potential advantages in certain implementations of devices, systems, and methods described herein, such as faster response times and less dependence on network conditions when transmitting and receiving data.

(157) Although various components of computing device **1105** are described separately, functionality of the various components may be combined and/or performed by a single component and/or multiple computing devices in communication without departing from the invention.

#### DESCRIPTION OF THE INVENTION

(158) FIG. **12** illustrates a networked system **1200**, within which the multi-party computation system may be implemented according to one embodiment of the disclosure. Note that the present techniques may be applied in many different computing and technological environments, however, and are not limited to those shown in the figures. The networked system **1200** includes a service

provider server **1230**, a merchant server **1220**, a user device **1210**, and networks of computer nodes **1270**, **1280**, and **1290** that may be communicatively coupled with each other via a network **1260**. The network **1260**, in one embodiment, may be implemented as a single network or a combination of multiple networks. For example, in various embodiments, the network **1260** may include the Internet and/or one or more intranets, landline networks, wireless networks, and/or other appropriate types of communication networks. In another example, the network **1260** may comprise a wireless telecommunications network (e.g., cellular phone network) adapted to communicate with other communication networks, such as the Internet.

(159) The user device **1210**, in one embodiment, may be utilized by a user **1240** to interact with the merchant server **1220** and/or the service provider server **1230** over the network **1260**. The user **1240** may be a natural person or an entity (e.g., a corporation, a partnership, an organization, etc.). For example, the user **1240** may use the user device **110** to conduct an online transaction with the merchant server **1220** via websites hosted by, or mobile applications associated with, the merchant server **1220**. The user **1240** may also log in to a user account to access account services or conduct electronic transactions (e.g., account transfers or payments, cryptocurrency transactions, etc.) with the service provider server **1230**. The user device **1210**, in various embodiments, may be implemented using any appropriate combination of hardware and/or software configured for wired and/or wireless communication over the network **1260**. In various implementations, the user device **1210** may include at least one of a wireless cellular phone, wearable computing device, PC, laptop, etc.

(160) The user device **1210**, in one embodiment, includes a user interface (UI) application **1212** (e.g., a web browser, a mobile payment application, etc.), which may be utilized by the user **1240** to interact with the merchant server **1220** and/or the service provider server **1230** over the network **1260**. In one implementation, the user interface application **1212** includes a software program (e.g., a mobile application) that provides a graphical user interface (GUI) for the user **1240** to interface and communicate with the service provider server **1230**, and/or the merchant server **1220** via the network **1260**. In another implementation, the user interface application **1212** includes a browser module that provides a network interface to browse information available over the network **1260**. For example, the user interface application **1212** may be implemented, in part, as a web browser to view information available over the network **1260**.

(161) The user device **1210** may include a digital wallet application **1216** for facilitating payment transactions with the merchant server **1220** and/or the service provider server **1230**. In some embodiments, the digital wallet application **1216** may include data associated with one or more funding sources (e.g., a credit card, a debit card, a bank account, etc.), which can be used for payment in one or more payment transactions conducted with the merchant server **1220** and/or the service provider server **1230**. In some embodiments, the digital wallet application **1216** may include data associated with a cryptocurrency account (e.g., a private key associated with the cryptocurrency account, etc.), which may be used to perform cryptocurrency transaction with the merchant server **1220**, the service provider server **1230**, or any other cryptocurrency digital wallets.

(162) The user device **1210**, in one embodiment, may include at least one identifier **1214**, which may be implemented, for example, as operating system registry entries, cookies associated with the user interface application **1212** and/or the authentication application **1216**, identifiers associated with hardware of the user device **1210** (e.g., a media control access (MAC) address), or various other appropriate identifiers. In various implementations, the identifier **1214** may be passed with a user login request to the service provider server **1230** via the network **1260**, and the identifier **1214** may be used by the service provider server **1230** to associate the user **1240** with a particular user account (e.g., and a particular profile) maintained by the service provider server **1230**.

(163) In various implementations, the user **1240** is able to input data and information into an input component (e.g., a keyboard) of the user device **1210**. For example, the user **1240** may use the input component to interact with the UI application **1212** (e.g., to retrieve content from third-party

servers such as the merchant server **1220**, to provide inputs related to a goal to the service provider server **1230**, etc.).

(164) While only one user device **1210** is shown in FIG. **12**, it has been contemplated that multiple user devices, each associated with a different user account with the service provider server **1230**, may be connected to the user device **1210**, the merchant server **1220**, and the service provider server **1230** via the network **1260**.

(165) The merchant server **1220**, in various embodiments, may be maintained by a business entity (or in some cases, by a partner of a business entity that processes transactions on behalf of business entity). Examples of business entities include merchants, resource information providers, utility providers, real estate management providers, social networking platforms, etc., which offer various items for viewing, accessing, and/or purchasing, and process payments for the purchases. As shown, the merchant server **1220** may include a merchant database **1224** for identifying available items, which may be made available to the user device **1210** for viewing and purchase by the user.

(166) The merchant server **1220**, in one embodiment, may include a marketplace application or server **1222**, which may be configured to provide information (e.g., displayable content) over the network **1260** to the user interface application **1212** of the user device **1210**. In one embodiment, the marketplace application **1222** may include a web server that hosts a merchant website for the merchant. For example, the user **1240** of the user device **1210** may interact with the marketplace application **1222** through the user interface application **1212** over the network **1260** to search and view various items available for access and/or purchase in the merchant database **1224**. The merchant server **1220**, in one embodiment, may include at least one merchant identifier **1226**, which may be included as part of the one or more items made available for purchase so that, e.g., particular items are associated with the particular merchants. In one implementation, the merchant identifier **1226** may include one or more attributes and/or parameters related to the merchant, such as business and banking information. The merchant identifier **1226** may include attributes related to the merchant server **1220**, such as identification information (e.g., a serial number, a location address, GPS coordinates, a network identification number, etc.).

(167) While only one merchant server **1220** is shown in FIG. **12**, it has been contemplated that multiple merchant servers, each associated with a different merchant, may be connected to the user device **1210** and the service provider server **1230** via the network **1260**.

(168) Each of the networks of computer nodes **1270**, **1280**, and **1290** (e.g., shard networks) may correspond to a shard chain of a blockchain. The blockchain may be associated with a particular transaction platform, such as a particular cryptocurrency, a particular platform for recording and managing smart contracts, etc. In the example where the blockchain is associated with a particular cryptocurrency (e.g., Bitcoin, Ethereum, etc.), the blockchain may record all of the transactions conducted using the particular cryptocurrency. When a new transaction using the particular cryptocurrency is initiated, upon validation of the new transactions by the computer nodes associated with the blockchain (e.g., using a proof-of-work or a proof-of-stake mechanism, etc.), the new transaction may be recorded within the blockchain. In another example, the blockchain may be associated with a particular transaction platform for conducting smart contracts. The blockchain may record all of the smart contracts conducted through the particular transaction platform. When a new smart contract is executed, upon validation of the smart contract by the computer nodes associated with the blockchain, the smart contract may be recorded in the blockchain. The records may include digital signatures representing the legitimacy of the corresponding block (and the corresponding transactions). Once the block is inserted into the blockchain, the block is no longer mutable. As such, the blockchain will continue to grow in size as more transactions are being recorded.

(169) As discussed herein, as the blockchain grows in size, the speed and efficiency performance for recording additional transactions into the blockchain may suffer. One solution to improve the performance associated with the blockchain is to divide the blockchain into separate shard chains,

where each shard chain corresponds to a distinct portion of the blockchain. In some embodiments, the computer nodes configured to store and manage the blockchain are divided into various groups (e.g., various shard networks) as well for separately storing and managing the shard chains of the blockchain. As such, each group of computer nodes (e.g., each shard network) may be responsible for storing and managing a corresponding shard chain. As each shard chain only includes a small portion of the entire blockchain, the processing resources required to operate the shard chain is substantially less than that required to operate the entire blockchain, resulting in substantial improvement in the overall speed and efficiency performance of operating the blockchain.

(170) In one example, a blockchain may have been divided into three separate shard chains. However, in another example, the shard chains may be created separately and together form a new blockchain. In either case, each the shard chains may be managed by a different network of computer nodes (e.g., the shard network **1270**, the shard network **1280**, and the shard network **1290**). As such, the computer nodes in each shard network may store copies of the corresponding shard chain and may be configured to manage the corresponding shard (e.g., generating blocks and appending the blocks into the corresponding shard, etc.). For example, the computer nodes within the shard network **1270** may store various copies of a first shard chain of the blockchain, and may be configured to record transactions to the first shard chain. The computer nodes within the shard network **1280** may store various copies of a second shard chain of the blockchain, and may be configured to record transactions to the second shard chain. The computer nodes within the shard network **1290** may store various copies of a third shard chain of the blockchain, and may be configured to record transactions to the third shard chain. In some embodiments, each group of computer nodes may be configured to use a validation mechanism (as discussed herein) to validate a transaction before adding the transaction to the corresponding shard chain. In some embodiments, transactions involving wallets handled in separate shards (i.e., inter-shard transactions) may be managed separately, via the collaboration of designated nodes in each shard.

(171) The service provider server **1230**, in one embodiment, may be maintained by a transaction processing entity or an online service provider, which may provide processing for electronic transactions between the users of the user device **1210** and one or more merchants or other types of payees. As such, the service provider server **1230** may include a service application **1238**, which may be adapted to interact with the user device **1210**, and/or the merchant server **1220** over the network **1260** to facilitate the searching, selection, purchase, payment of items, transaction authentication, and/or other services offered by the service provider server **1230**. In one example, the service provider server **1230** may be provided by PayPal®, Inc., of San Jose, California, USA, and/or one or more service entities or a respective intermediary that may provide multiple point of sale devices at various locations to facilitate transaction routings between merchants and, for example, service entities.

(172) In some embodiments, the service application **1238** may include a payment processing application (not shown) for processing purchases and/or payments for electronic transactions between a user and a merchant or between any two entities (e.g., between two users, etc.). In one implementation, the payment processing application assists with resolving electronic transactions through validation, delivery, and settlement. As such, the payment processing application settles indebtedness between a user and a merchant, wherein accounts may be directly and/or automatically debited and/or credited of monetary funds. In some embodiments, to process a fiat payment transaction, the service application **1238** may communicate (e.g., through a series of commands) with various servers associated with issuing banks and/or acquiring banks via a payment network. In some embodiments, to process a cryptocurrency payment transaction, the service application **1238** may communicate with various computer nodes (e.g., the computer nodes in the shard networks **1270**, **1280**, or **1290**) associated with a blockchain.

(173) The service provider server **1230** may also include an interface server **1234** that is configured to serve content (e.g., web content) to users and interact with users. For example, the interface

server **1234** may include a web server configured to serve web content in response to HTTP requests. In another example, the interface server **1234** may include an application server configured to interact with a corresponding application (e.g., a service provider mobile application) installed on the user device **1210** via one or more protocols (e.g., REST API, SOAP, etc.). As such, the interface server **1234** may include pre-generated electronic content ready to be served to users. For example, the interface server **1234** may store a log-in page and is configured to serve the log-in page to users for logging into user accounts of the users to access various services provided by the service provider server **1230**. The interface server **1234** may also include other electronic pages associated with the different services (e.g., electronic transaction services, etc.) offered by the service provider server **1230**. As a result, a user (e.g., the user **1240**), or a merchant associated with the merchant server **1220**, etc.) may access a user account associated with the user and access various services offered by the service provider server **1230** (e.g., conduct various transactions such as payment transactions, data access transactions through a user account of the user), by generating HTTP requests directed at the service provider server **1230**.

(174) The service provider server **1230**, in one embodiment, may be configured to maintain one or more user accounts and merchant accounts (e.g., digital wallet accounts, etc.) in an account database **1236**, each of which may be associated with a profile and may include account information associated with one or more individual users (e.g., the user **1240** associated with user device **1210**, etc.) and merchants (e.g., funding sources linked to the digital wallet application **1216**, a key associated with a cryptocurrency wallet account, etc.). In one implementation, a user may have credentials to authenticate or verify identity with the service provider server **1230**. Thus, the service provider server may store the credentials of the users in corresponding records of the account database **1236** associated with the user accounts.

(175) In various embodiments, the service provider server **1230** includes a multi-party computation (MPC) module **1232** that implements at least a portion of the multi-party computation system as discussed herein. The MPC module **1232** may configure computer nodes in various shard networks to perform a validation process using the multi-party computation technique disclosed herein for validating electronic transactions conducted through one or more shard chains. As such, the MPC module **1232** may access each of the shard chains of the blockchain, and the shard networks **1270**, **1280**, and **1290**. The MPC module **1232** may determine various metrics that characterizes the shard chains and/or the computer nodes within the shard networks. The various metrics may include a chain metric representing characteristics of the entire blockchain, a shard metric representing characteristics of the shard chain, transaction metric representing characteristics of transactions recorded in the shard chain, and node metric representing characteristics of the computer nodes within the shard network. Based on the various metrics, the MPC module **1232** may determine, for each shard chain, a multi-party computation scheme. The multi-party computation scheme may specify a threshold number of computer nodes needed to participate in a validation process in order to validate a transaction for the corresponding shard chain. In some embodiments, the multi-party computation scheme may also specify one or more required (“must-have”) computer nodes for participating in the validation process in order to validate the transaction for the corresponding shard chain. The MPC module **1232** may also implement the multi-party computation schemes in the computer nodes of the corresponding shard networks, such that the computer nodes may use the multi-party computation scheme to validate transactions to be recorded in the corresponding shard chains.

(176) FIG. **13** illustrates a sharding environment **1300** associated with a blockchain **1310**. In this example, the blockchain **1310** may be associated with a particular cryptocurrency or a particular transaction platform. The blockchain **1310** is managed by a network of computer nodes (a blockchain network) **1320**. As such, each computer node in the blockchain network **1320** may store a copy of the blockchain **1310**, and may be configured to manage the blockchain **1310** (e.g., perform validation of transactions and record transactions in the blockchain, etc.). As discussed

herein, as the blockchain **1310** grows in size (e.g., transactions continue to be recorded to the blockchain **1310**), the computation resources required by each computer node in the blockchain network of computer nodes **1320** to perform validation and recordation of the transactions also increase. As a result, the speed and efficiency performance of operating the blockchain **1310** may suffer.

(177) In some embodiments, in order to improve the performance of operating the blockchain **1310**, the blockchain may undergo a sharding process, in which the blockchain may be divided into multiple shard chains **1312**, **1314**, and **1316**. Each of the shard chains **1312**, **1314**, and **1316** may correspond to a distinct portion of the blockchain **1310**, and the combination of the shard chains **1312**, **1314**, and **1316** makes up the blockchain **1310**. The division of the blockchain **1310** may be performed in different ways. For example, the blockchain **1310** may be divided based on user accounts (e.g., cryptocurrency wallet accounts) such that transactions associated with a first one or more user accounts are recorded in the shard chain **1312**, transactions associated with a second one or more user accounts are recorded in the shard chain **1314**, and transactions associated with third one or more user accounts are recorded in the shard chain **1316**. In another example, the blockchain **1310** may be divided based on geographical regions where the transactions are conducted, such that transactions conducted in a first one or more regions are recorded in the shard chain **1312**, transactions conducted in a second one or more regions are recorded in the shard chain **1314**, and transactions conducted in third one or more regions are recorded in the shard chain **1316**.

(178) As discussed herein, in some embodiments, instead of dividing an existing blockchain into multiple shard chains, the shard chains **1312**, **1314**, and **1316** may be created separately, and together these shard chains **1312**, **1314**, and **1316** form a new blockchain. Thus, the sharding process may involve in the initial creation of the shard chains **1312**, **1314**, and **1316** for the new blockchain.

(179) In some embodiments, the sharding process may also divide the blockchain network of computer nodes **1320** into multiple shard networks, where each shard network is responsible for storing and managing a corresponding shard chain. In this example, the blockchain network **1320** may be divided into a shard network **1322**, a shard network **1324**, and a shard network **1326**. Alternatively, when the shard chains **1312**, **1314**, and **1316** are created separately, the shard networks **1322**, **1324**, and **1326** may be independently assigned to the respective shard chains. The shard network **1322** may be configured to store and manage the shard chain **1312**, the shard network **1324** may be configured to store and manage the shard chain **1314**, and the shard network **1326** may be configured to store and manage the shard chain **1316**. While the shard chain **1310** and the blockchain network **1320** are divided into three shard chains and three shard networks, respectively, it is noted that the blockchain **1310** and the blockchain network **1320** can be divided in any number of shard chains and shard networks as desired (e.g., 5, 10, 100, etc.). Alternatively, any number of shard chains can be created to form a new blockchain. In some embodiments, in order to facilitate synchronization of the transactions added to the shard chains **1312**, **1314**, and **1316**, a central chain (also referred to as a “beacon chain”) **1350** may be generated. The central chain **1350** is configured to track all the changes occurred to the shard chains **1312**, **1314**, and **1316** such that a trusted version of the entire blockchain **1310** can be easily accessed via the central chain **1350**. Furthermore, the central chain **1350** can be used during validation of new transaction to be added to any one of the shard chains **1312**, **1314**, and **1316**. For example, while validating a new transaction for a shard chain, a computer node within a corresponding shard network may verify the new transaction based on prior transactions recorded in the central chain **1350** (e.g., to ensure that funds used in the new transaction was not spent in a previous transaction in another shard chain, etc.).

(180) In one implementation, each block in the central chain **1350** may include crosslinks that link the block of the central chain **1350** to the corresponding blocks in the shard chains **1312**, **1314**, and **1316**. Since there are three shard chains in this example, each block in the central chain **1350** may



include three crosslinks, each crosslink linking the block of the central chain **1350** to a block of a corresponding shard chain. These crosslinks enable a synchronization between each of the shard chains **1312**, **1314**, and **1316** and the central chain **1350**, and also communications among the shard chains **1312**, **1314**, and **1316** (e.g., for transactions that involve digital wallets associated with different shard chains, etc.). Further details on the operations of central chains and shard chains can be found in the article: The Beacon Chain Ethereum 2.0 (<https://ethos.dev/beacon-chain/>).

(181) Since each shard network is configured to store and manage only a shard chain, which is a substantially smaller in size (in this example, each shard chain may be approximately one-third of the size of the blockchain **1310**), the computer resources required to validate and record a new transaction in each of the shard chains **1312**, **1314**, and **1316** may be substantially less than what is required to validate and record a new transaction in the blockchain **1310**. However, while the sharding environment **1300** improves the speed and efficiency performance of operating the blockchain **1310**, it also introduces (or increases) the security risk to the shard chains **1312**, **1314**, and **1316**. For example, in order to launch a 51% attack to the blockchain **1310** prior to the sharding, a malicious user would need to control (e.g., take over) over half of the computer nodes in the blockchain network **1320** prior to the sharding process. Thus, if the blockchain network **1320** includes 90 computer nodes, the malicious user may be required to control over 45 computer nodes. After the blockchain **1310** has been divided into the shard chains **1312**, **1314**, and **1316**, since the blockchain network **1320** is also divided into three shard networks, where each shard network may include 30 computer nodes, the malicious user may only need to control over 15 computer nodes to compromise the integrity of each shard chain, which is substantially easier to do than controlling over 45 computer nodes. Thus, according to various embodiments of the disclosure, the MPC module **1232** may be configured to implement a multi-party computation process in each of the shard networks **1322**, **1324**, and **1316** for validating transactions to be recorded in each of the shard chains **1312**, **1314**, and **1316** to improve the security of the shard chains **1312**, **1314**, and **1316**.

(182) FIG. **14** illustrates a block diagram of the MPC module **1232** according to an embodiment of the disclosure. The MPC module **1232** includes an MPC manager **1402**, a shard interface **1404**, a shard analysis module **1406**, a configuration module **1408**, and a verification module **1410**. In some embodiments, the MPC module **1232** may be communicatively coupled to the central chain **1350** and the shard networks **1322**, **1324**, and **1326** that are configured to manage the shards **1312**, **1314**, and **1316**, respectively. The MPC module **1232** may collaborate with the computer nodes in the shard networks **1322**, **1324**, and **1326** to configure and implement multi-party computation schemes for the shard chains **1312**, **1314**, and **1316**, respectively. In some embodiments, the MPC module **1232** may be configured to facilitate the synchronization of the blockchain **1310** by managing the central chain **1350**. For example, the MPC module **1232** may be configured to add any new transactions, that are validated to be added to any one of the shard chains **1312**, **1314**, and **1316**, to the central chain **1350**.

(183) In some embodiments, the shard analysis module **1406** may, via the shard interface **1404**, access each of the shard networks **1322**, **1324**, and **1326** to analyze the computer nodes and the copies of the shard chains stored in the computer nodes. For example, the shard analysis module **1406** may access the copies of the shard chains **1312**, **1314**, and **1316** stored in the shard networks **1322**, **1324**, and **1306**. The shard analysis module **1406** may analyze the copies of the shard chains **1312**, **1314**, and **1316** to determine a chain metric. Since the combination of the shard chains **1312**, **1314**, and **1316** corresponds to the entire blockchain **1310**, the shard analysis module **1406** may determine the chain metric that represents various characteristics of the blockchain **1310** based on analyzing the shard chains **1312**, **1314**, and **1316**. The chain metric may represent various characteristics of blockchain **1310**, such as a size of the blockchain **1310** (e.g., the number of transactions or blocks recorded in the blockchain **1310**, the aggregated or average value of the transactions, a memory size of the blockchain **1310**, etc.), an age of the blockchain **1310** (e.g., an

average age of the transactions recorded in the blockchain **1310**, etc.), a rate or frequency of blocks being added to the blockchain **1310** (e.g., to any one of the shard chains **1312**, **1314**, and **1316**), and other information associated with the blockchain **1310**.

(184) The shard analysis module **1406** may also determine, for each individual shard chain (e.g., the shard chain **1312**), a shard metric. The shard metric may represent various characteristics of the shard chain, such as a size of the shard chain (e.g., the number of transactions or blocks recorded in the shard chain **1312**), an age (e.g., an average age, etc.) of the blocks in the shard chain, a rate or frequency of blocks being added to the shard chain, and other information associated with the shard chain.

(185) The shard analysis module **1406** may also determine, for each shard chain (e.g., the shard chain **1312**), a transaction metric representing characteristics of the transactions that are recorded in each shard chain. For example, the transaction metric may represent the amounts or values of the transactions (e.g., an average, a minimum, a maximum, etc.) being recorded in the shard chain **1312**, a number of transactions being recorded in the shard chain **1312**, a rate or frequency of transactions being recorded in the shard chain **1312**, a volatility of transactions being recorded in the shard chain **1312**, characteristics of the users and/or user devices used to conduct the transactions being recorded in the shard chain **1312**, geographical regions in which transactions recorded in the shard chain **1312** are conducted, and other information associated with the transactions being recorded in the shard chain **1312**.

(186) The shard analysis module **1406** may also determine, for each shard chain (e.g., the shard chain **1312**) a node metric representing characteristics of the computer nodes within the shard network (e.g., the shard network **1322**) configured to store and manage the shard chain **1312**. For example, the node metric may represent a security level of each computer node within the shard network **1322**, hardware and/or software configuration of each computer node within the shard network **1322**, a network attribute associated with the connections among the computer nodes within the shard network **1322**, and other attributes associated with the computer nodes in the shard network **1322**.

(187) The shard analysis module **1406** may determine the various metrics for each of the shard chains **1312**, **1314**, and **1316**. Based on the various metrics determined for the blockchain **1310** and the shard chains **1312**, **1314**, and **1316**, the configuration module **1408** may determine a multi-party computation scheme for each of the shard chains **1312**, **1314**, and **1316**. The multi-party computation scheme for a particular shard chain may specify a minimum number (t) of participating nodes, out of all of the computer nodes (n number of computer nodes) in the shard network corresponding to the particular shard chain, for validating a transaction to be recorded in the shard chain. By specifying a minimum number of participating nodes (e.g., more than half of the nodes in the shard network) for validating transactions to be recorded in a shard chain, the security of the shard chain can be improved.

(188) In some embodiments, to further improve the security of the shards while reducing the number of required nodes, the configuration module **1408** may also determine the multi-party computation scheme to specify a required (“must-have”) computer node for participating in validating transactions to be recorded in the shard chain. For example, the configuration module **1408** may select, for each particular shard chain, a particular computer node as the required (“must-have”) computer node for participating in validating transactions through the particular shard chain. In some embodiments, the configuration module **1408** may select a particular computer node that is configured to store and manage the particular shard and also one or more other shard chains of the blockchain. For example, for the shard chain **1312**, the configuration module may select a computer node that is part of the shard network **1322** and also at least one of the shard networks **1324** and **1326**. The reason for selecting the computer node that is configured to manage multiple shard chains as the required computer node is that the computer node that is configured (e.g., by the administrator(s) of the blockchain) to store and manage multiple shard chains is usually hardened

so as to be more trust-worthy and with a higher level of security than other nodes. Furthermore, the particular computer node that is configured to manage multiple shard chains may have insights that other computer nodes may not have that would improve the security of the validation process of a transaction. For example, the particular computer node may determine that the transaction was conducted by a user account that has been linked to one or more fraudulent transactions associated with one or more other shard chains. That information, which other computer nodes associated with the shard chain does not have, may allow the particular computer node to determine not to validate the transaction to be recorded in the shard chain. Thus, selecting the particular computer node as a required node for participating in the validation process would further increase the security of the shard chain.

(189) In some embodiments, the configuration module **1408** may adjust the minimum number ( $t$ ) of participating nodes and the number of required computer nodes based on the various metrics. The ratio between the number of computer nodes required to perform the validation process ( $t$ ) and the total number of computer nodes in the set of computer nodes ( $n$ ) attributes to the security and resiliency of the validation process for the shard chain. For a given set of computer nodes ( $n$ ), a larger  $t$  would increase the security, but would reduce the resiliency, of the validation process. Conversely, a smaller  $t$  would increase the resiliency, but would reduce the security, of the validation process. In some embodiments, the configuration module **1408** may determine the minimum number ( $t$ ) to exceed half of the computer nodes in the group, such that more than half of the computer nodes in the shard network are required to collaborate on the validation of a transaction. As a result, a typical 51% attack would not succeed on a shard network that has been implemented with such a multi-party computation scheme.

(190) In some embodiments, based on the various metrics, the configuration module **308** may further increase (or decrease) the minimum number ( $t$ ) required to perform the validation process and/or increase (or decrease) the number of required nodes for performing the validation process. For example, the configuration module **1408** may increase the minimum number ( $t$ ) in the multi-party computation scheme for a shard chain and/or increase the number of required computer nodes for validating a transaction when the various metrics indicate that transaction amounts are generally high (e.g., exceed a threshold), the computer nodes in the shard network do not have up-to-date versions of the software or do not have any security software installed on the computer nodes, lack of security in the connectivity among the nodes in the shard network, a frequency of transactions above a threshold, and/or other factors.

(191) Once a multi-party computation scheme has been determined for a shard chain, the MPC manager **1402** may, via the shard interface **1404**, implement the multi-party computation scheme among the computer nodes associated with the shard chain. For example, the MPC manager **1402** may generate (or otherwise obtain), for each of the shard chains **1312**, **1314**, and **1316**, a pair of corresponding public key and private key. In some embodiments, the MPC manager **1402** may generate a pair of corresponding keys, such as a public key and private key, using an asymmetric cryptography algorithm for each of the shard chains **1312**, **1314**, and **1316**. The pair of public key and private key corresponds with each other in a way that data encrypted using the private key can only be decrypted using the public key, and vice versa. The private key may be kept private by an administrator or a computer server associated with the blockchain **1310**, and not shared with anyone. The authenticity of a digital signature produced by the validation process participated by one or more computer nodes within a group (e.g., data that is encrypted using a private key associated with the corresponding shard chain) can be verified by decrypting the digital signature using the corresponding public key to restore the data in its unencrypted form.

(192) In this example, the MPC manager **1402** may generate a private key **1422** for the shard chain **1312**, a private key **1424** for the shard chain **1314**, and a private key **1426** for the shard chain **1316**. The MPC manager **1402** may temporarily store the private keys **1422**, **1424**, and **1426** in a data storage **1460**. A digital signature for each shard chain may be generated using the corresponding

private key (e.g., by encrypting a piece of data using the corresponding private key). Thus, a digital signature for the shard chain **1312** may be generated using the private key **1422**. Similarly, a digital signature for the shard chain **1314** may be generated using the private key **1424**, and a digital signature for the shard chain **1316** may be generated using the private key **1426**. However, using the multi-party computation scheme, instead of using the actual private keys, different sharable values may be used to generate an output that mimic the digital signatures of the shard chains, as will be explained in more detail below.

(193) In some embodiments, the combined requirements of a quorum and required (must-have) nodes for the validation process may be implemented in an algorithmic level according to the multi-party computation scheme, such that any subset of the group of computer nodes associated with the shard chain may collaborate to produce a correct piece of data (e.g., data that mimic an encryption using a private key of the shard chain), as long as the subset includes the required computer node and includes at least the minimum threshold number ( $t$ ) of computer nodes. In other words, an algorithm may be designed and implemented to require a set of computation to be performed among the subset of computer nodes such that anyone (e.g., any devices, and not limited to one centralized authoritative device) can determine whether the quorum and required nodes requirements are satisfied (a number of nodes that equal to or exceeds the minimum threshold number ( $t$ ) of nodes, including the required node(s) have participated in the validation process) based on an output from the set of computation. This way, if a number of computer nodes that satisfies the quorum requirement, including the required node(s), participated in the validation process by performing the corresponding computations (e.g., the corresponding validation routines), a correct output may be generated. On the other hand, if the number of nodes that does not satisfy the quorum requirement, or does not include all of the required node(s), participated in the authentication process by performing the corresponding computations (e.g., the corresponding authentication routines), an incorrect output (or no output) may be generated. In some embodiments, a correct output may correspond to a digital signature associated with the shard chain (e.g., a piece of data encrypted using a private key of the shard chain). While the actual private key may not be used in the computation (e.g., the validation process), the output generated by the set of computations during the validation process may mimic a digital signature generated by encrypting a piece of data using the private key of the shard chain.

(194) To implement the algorithm, a number of secrets may be generated based on the number of required node(s). For example, if only one required computer node is needed for the authentication process, two secrets may be generated for generating the digital signature. If two required computer nodes are needed for the authentication process, three secrets may be generated for generating the digital signature. One of the secrets (e.g., a shared secret) may be divided into multiple portions to generate shares associated with the secret. The shares may be distributed among the computer nodes used for the validation process, excluding the required node(s). The remaining secret(s) (the unshared secret(s) may be distributed to the required node(s). Thus, each required node may be in possession of a respective unshared secret, while each remaining computer node may be in possession of a share associated with the shared secret. One share of the secret may include one or more values that can be used in collaboration with other shares to generate the shared secret.

(195) In some embodiments, the secrets may be generated such that computations (e.g., a set of sequential computations) performed based on all of the generated secrets are required in order to produce a correct output (e.g., a digital signature for the shard chain). For example, if two secrets are generated (due to a one required node requirement), a sequential computation that includes a first computation based on a first of the two secrets and a second computation based on a second of the two secrets (where the second computation may be further based on an output of the first computation) may be required to generate the digital signature of a shard chain. In this example, the first secret may be divided and shared among the computer nodes excluding the required node, and the second secret may be provided to the required node. Furthermore, the shares (which include

portions of the secret) are generated and distributed among the remaining computer nodes such that not all of the shares, but at least a required minimum threshold number  $t$  of shares, are required to re-generate the shared secret (e.g., the first secret).

(196) FIG. 15 illustrates how secret(s) and shares associated with a secret can be generated and distributed among a shard network of computer nodes associated with a shard chain according to some embodiments of the disclosure. In this example, the configuration module **1408** may determine a multi-party computation scheme for validating transactions conducted through the shard chain **1312** that is managed by the shard network **1322**, which includes computer nodes **1512**, **1514**, **1516**, **1518**, and **1520**. The configuration module **1408** may determine, based on the various metrics associated with the shard chain **1312** and the computer nodes in the shard network **1322**, that at least three computer nodes out of the five computer nodes in the shard network of computer nodes **1322** are required to perform the validation process in order to validate transactions to be recorded in the shard chain **1312**. Furthermore, in this example, the configuration module **1408** may designate the computer node **1512** as a required (must-have) node for the validation process of the shard chain **1312** such that in addition to having a quorum (e.g., three participating nodes in the validation process), the computer node **1512** must be part of the validation process to validate a transaction to be recorded in the shard chain **1312**. In some embodiments, the configuration module **1408** designates the computer node **1512** to be the required node based at least in part on the computer node **1512** being part of the shard network **1322** and also one or more of the other shard networks **1324** and **1326**.

(197) As shown in the figure, since one required node is designated for the shard chain **1312** according to the multi-party computation scheme determined for the shard chain **1312**, the MPC manager **1402** may generate two secrets **1504** and **1506** based on the private key **1422** associated with the shard chain **1312** (or the shard network **1322**). Each of the secrets **1504** and **1506** may include a string, which can be an encryption key or data that can be used by a computer node of the shard network **1322** to perform computations associated with the validation process, which will be explained in more detail below. In some embodiments, the two secrets **1504** and **1506** generated based on the private key **1422** are not reversible, meaning that the private key **1422** cannot be re-generated from the secrets **1504** and **1506**. However, the secrets **1504** and **1506** may be used in a set of computations (the validation process), performed by the set of computer nodes in collaboration, to mimic a function of signing (e.g., encrypting) a piece of data using the private key **1422**. The set of computations may include a first computation based on the secret **1506** (e.g., performing a first manipulation on a piece of data using the secret **1506** to generate a first output) and a second computation based on the secret **1504** (e.g., performing a second manipulation on the first output based on the secret **1504** to generate a second output). The second output may correspond to a digital signature of the shard network (the second output is identical to encrypting the piece of data using the private key **1422**). Once the secrets **1504** and **1506** are generated, the MPC manager **1402** may discard the private key **1422** (e.g., permanently removing the private key **1422**).

(198) The MPC manager **1402** may then distribute the secret **1504** to the required node (e.g., the computer node **1512**). In response to receiving the secret **1504** from the MPC manager **1402**, the computer node **1512** may securely store the secret **1504** on the computer node **1512** (e.g., a persistent data storage such as a hard drive, a flash drive, etc.).

(199) In some embodiments, the MPC manager **1402** may generate shares associated with the secret **1506**. Each share may include one or more portions of the secret **1506**, or information that may be used with other shares to re-generate the secret **1506**. The shares may be distributed among the remaining computer nodes **1514**, **1516**, **1518**, and **1520**. For example, the MPC manager **1402** may generate shares **1522**, **1524**, **1526**, and **1528** for the computer nodes **1514**, **1516**, **1518**, and **1520**. The MPC manager **1402** may distribute the shares **1522**, **1524**, **1526**, and **1528** to the computer nodes **1514**, **1516**, **1518**, and **1520**, respectively. In some embodiments, the MPC

manager **1402** generate shares by dividing the secret **1506** into multiple parts, where each share includes one or more parts of the secret **1506**. For example, the MPC manager **1402** may generate the shares **1522**, **1524**, **1526**, and **1528**, where each share includes multiple parts (but not all parts) of the secret **1506** such that each computer node does not possess the entirety of the secret **1506**. Furthermore, different shares may include different sets of multiple parts such that a portion of the computer nodes **1514**, **1516**, **1518**, and **1520** (but not all of the computer nodes) are needed to have all of the parts of the secret **1506**. In some embodiments, the shares can be generated based on Shamir's secret sharing techniques, where the secret **1506** may be transformed into a polynomial and each share includes a distinct data point (having a set of coordinates) of the polynomial. In some embodiments where the secret **1506** is transformed into a polynomial, the secret **1504** may be implemented as an offset to the polynomial.

(200) Upon receiving the corresponding shares **1522**, **1524**, **1526**, and **1528**, the computer nodes **1514**, **1516**, **1518**, and **1520** may store the corresponding shares **1522**, **1524**, **1526**, and **1528**. After distributing the secret **1504** and the shares **1522**, **1524**, **1526**, and **1528** of the secret **1506**, the shard network of computer nodes **1322** are ready to perform the validation process to validate transactions according to the multi-party computation scheme. In some embodiments, after distributing the secret **1504** and the shares **1522**, **1524**, **1526**, and **1528**, the MPC manager **1402** may also discard (delete or otherwise destroy) copies of the secret **1504** and the shares **1522**, **1524**, **1526**, and **1528** from its memory.

(201) FIG. **16** illustrates an example validation process performed by the shard network of computer nodes **1322** to validate a transaction to be recorded in the shard chain **1312** according to some embodiments of the disclosure. In some embodiments, the user **1240** may use the user device **110** to initiate a transaction with the service provider server **1230**. The transaction may be a cryptocurrency transaction (e.g., transferring an amount of cryptocurrency from one wallet to another wallet, etc.), a smart contract transaction, or any type of transactions. In some embodiments, the user **1240** may transmit a transaction request to the service provider server **1230**. The transaction request may include credentials (e.g., a user name, a password, etc.) associated with the user account. Upon verifying the credentials, the service provider server **1230** may determine a particular shard chain for recording the transaction. For example, the service provider server **1230** may determine the particular shard chain based on an identity of the user account used to conduct the transaction, a location at which the transaction is conducted, and/or other factors. In this example, the service provider server **1230** may determine that the shard chain **1312** is suitable for recording the transaction. Thus, the service provider server **1230** may transmit transaction data **1602** associated with the transaction to one or more of the computer nodes in the network of computer nodes **1322**, including the computer nodes **1512**, **1514**, **1516**, **1518**, and **1520**. The transaction data **1602** may be directly transmitted by the service provider server **1230** to each of the computer nodes **1512**, **1514**, **1516**, **1518**, and **1520**. Alternatively, once any one computer node within the shard network **1322** receives the transaction data **1602**, the computer node may be configured to automatically broadcast the transaction data **1602** to the other computer nodes in the shard network **1322**.

(202) In some embodiments, the validation process includes an ordered sequential set of computations, where the set of computations must be performed in order based on the secrets and/or the portions of the secrets. Thus, the secrets and/or the portions of the secrets distributed to the computer nodes may be labeled (e.g., based on the order). When the computer nodes **1512**, **1514**, **1516**, **1518**, and **1520** receives the transaction (or the transaction data associated with the transaction), each of the computer nodes **1512**, **1514**, **1516**, **1518**, and **1520** may verify the transaction. For example, each computer node may traverse its copy of the shard chain **1312** to determine whether the transaction is legitimate based on other transactions recorded in the shard chain **1312**. When it is determined that the transaction is verified, each computer node may determine if the computer node can perform the initial computation (e.g., an initial validation

routine that is part of the validation process) based on a first portion of the secret **1506** stored on the computer node. If the computer node determines that it can perform the initial computation based on the first portion of the secret **1506** in its possession (the first portion is included in the corresponding share stored on the computer node), the computer node may perform the initial computation based on the transaction data and the first portion of the secret **1506** (labeled as the first portion) within its corresponding share. The performing of the initial computation may manipulate the transaction data **1602** based on the first portion of the secret **1506** and generate a first output. The computer node may broadcast the first output to other computer nodes. Each of the computer nodes may determine if it is capable of performing a second computation (e.g., a second validation routine that is part of the validation process) based on a second portion of the secret **1506**. If a computer node determines that it can perform the second computation based on the second portion of the secret **1506** in its possession (the second portion included in a corresponding share stored on the computer node), it may perform the second computation. The second computation may involve manipulating the first output using the second portion of the secret **1506**. The computer nodes **1514**, **1516**, **1518**, and **1520** may continue to perform computations as part of the validation process using portions of the secret **1506** in their possessions until all of the computations involving the secret **1506** is completed. The last computation may generate the output **1604**. When all of the computations involving the secret **1506** is completed, the computer node that performed the last computation may transmit the output **1604** to the required computer node **1512**.

(203) Upon receiving the output **1604**, the computer node **1512** may perform a computation corresponding to the validation process based on the secret **1504** stored on the computer node **1512**. In some embodiments, the computation performed by the computer node **1512** further manipulates the output **1604** based on the secret **1504** to generate an output **1606**, which is the final output of the validation process. In some embodiments, the final output **1606** may correspond to a digital signature associated with the shard chain **1312**. The computer node **1512** may broadcast the output **1606** to the other computer nodes in the shard network **1312** such that each of the computer nodes in the shard network **1312** may record the transaction along with the output **1606** (e.g., the digital signature of the shard chain **1312**) to their copies of the shard chain **1312**. Since the digital signature is also included in the shard chain **1312**, any device (e.g., any computer node in the shard network **1322** or other computer node) may verify the digital signature by decrypting the output **1606** using a public key associated with the shard chain **1312** and verifying that the decrypted signature corresponds to the transaction data stored in the shard chain **1312**. If more than the minimum threshold number of computer nodes (e.g., three) from the shard network **1322**, and the required computer node **1512** participated in the validation process, the output **1606** should correspond to the digital signature of the shard chain **1312** (e.g., decrypting the output **1606** using the public key of the shard chain **1312** should produce a value that matches the transaction data **1602**). On the other hand, if less than the minimum threshold number of computer nodes (e.g., two) participated in the validation process or the required computer node **1512** failed to participate in the validation process, the output **1606** would not correspond to the digital signature of the shard chain **1312** (e.g., decrypting the output **1606** using the public key of the shard chain **1312** would produce a value that does not match the transaction data **1602**).

(204) Each computer node in the shard network **1322** may verify the output **1606** accordingly, and may add the transaction data **1602** and the output **1606** to its copy of the shard chain **1312** (e.g., add the transaction data **1602** and the output **1606** to a block and append the block to the shard chain **1312**) only if the output **1606** is verified. If the output **1606** is not verified, the computer node should discard the transaction.

(205) In some embodiments, after the multi-party computation schemes are implemented within the shard networks (e.g., the shard networks **1322**, **1324**, **1326** etc.), the MPC manager **1402** may continue to monitor the different characteristics of the shard networks (e.g., the shard networks **1322**, **1324**, **1326**, etc.) and the corresponding shard chains (e.g., the shard chains **1312**, **1314**,

**1316**, etc.). For example, the shard analysis module **1406** may continue to monitor (e.g., periodically, etc.) the different attributes of the transactions being added to each of the shard chains, the volatility of the new transactions being added to each of the shard chains, the conditions (e.g., security conditions, etc.) of the computer nodes in each of the shard networks, network conditions among the computer nodes in each of the shard networks, and other attributes. Based on the updated characteristics of the shard networks, the configuration module **1408** may determine whether to modify one or more multi-party computation schemes for one or more shard chains.

(206) For example, if it is determined that the amounts associated with the new transactions being added to a shard chain (e.g., transactions that were added after a threshold time) are significantly larger than (e.g., more than a threshold) the amounts associated with the old transactions in the shard chain (e.g., transactions that were added before the threshold time), or that the number of transactions being added to a shard chain within a time duration in a recent time is significantly larger than the number of transactions being added to the shard chain within the same time duration in the past, the configuration module **1408** may determine to increase the minimum threshold number of computer nodes required to participate in the validation transaction, increase the number of required computer nodes for validating transactions, or both, for the shard chain.

(207) In another example, if it is determined that the computer node that is designated as the required computer node in the existing multi-party computation scheme of a shard chain has a security issue (e.g., software not up-to-date, recent attack on the computer node, etc.), the configuration module **1408** may increase the number of required nodes for validating transactions and/or designate another computer node as the required node for the shard chain.

(208) In yet another example, if it is determined that the volatility of new transactions is significantly greater than old transactions in the shard chain, the configuration module **1408** may also increase the minimum threshold number of computer nodes required to participate in the validation transaction, increase the number of required computer nodes for validating transactions, or both, for the shard chain.

(209) In some embodiments, based on the updated characteristics of a shard chain (e.g., the shard chain **1312**), the configuration module **1408** may also modify one or more multi-party computation schemes of one or more other shard chains (e.g., the shard chains **1314**, **1316**, etc.). It is because if the security risk increases for one shard chain, it may affect the security risks of other shard chains as well. For example, if an increase number of attacks has been detected on one shard network (e.g., the shard network **1322**), the configuration module **1408** may foresee that similar attack trend may likely occur in other shard networks as well. Thus, the configuration module **1408** may increase the security by modifying the multi-party computation schemes of multiple shard chains (e.g., the shard chains **1312**, **1314**, and **1316**) based on the detected event on one shard chain.

(210) Once the multi-party computation scheme has been modified, the MPC manager **1402** may implement the modified multi-party computation scheme within the shard network. In some embodiments, to implement the modified multi-party computation scheme, the MPC manager **1402** may generate new secrets and new shares of secret, and may distribute the new secrets and the new shares of secrets among the computer nodes within the shard network using the techniques described here.

(211) FIG. **17** illustrates a process **1700** for determining and implementing a multi-party computation scheme according to various embodiments of the disclosure. In some embodiments, at least a portion of the process **1700** may be performed by the MPC module **1232**. It is noted that while in some embodiments, the MPC module **1232** may be implemented as a centralized module for implementing the multi-party computation scheme across multiple shards, in other embodiments, a separate MPC module **1232** may be implemented for implementing a multi-party computation scheme for each shard separately. The process **1700** may begin by accessing (at step **1705**) multiple shard chains and shard networks corresponding to a blockchain. For example, the shard analysis module **1406** may access, via the shard interface, the computer nodes within the



shard networks **1322**, **1324**, and **1326**. The shard analysis module **1406** may obtain copies of the shard chains stored within the computer nodes. For example, the shard analysis module **1406** may access copies of the shard chain **1312** from computer nodes in the shard network **1322**. Similarly, the shard analysis module **1406** may access copies of the shard chain **1314** from computer nodes in the shard network **1324**, and access copies of the shard chain **1316** from computer nodes in the shard network **1326**.

(212) The process **1700** then analyzes (at step **1710**) transaction characteristics of the transactions recorded in each of the shard chains. For example, the shard analysis module **1406** may analyze the transactions recorded in the shard chains **1312**, **1314**, and **1316**. In some embodiments, the shard analysis module **1406** may determine the amounts associated with the transactions recorded in a shard chain, an average amount of the transactions, a volatility of the transactions, a total number of transactions, and other transaction attributes.

(213) The process **1700** then analyzes (at step **1715**) node characteristics of the nodes in each of the shard chains. For example, the shard analysis module **1406** may analyze the computer nodes within each of the shard networks **1322**, **1324**, and **1326**. The shard analysis module **1406** may determine hardware and/or software configurations of each computer node (e.g., whether any security hardware or software has been installed on the computer node, etc.), network attributes of each computer node, and other computer attributes for each computer node in the shard networks.

(214) The process **1700** then analyzes (at step **1720**) chain characteristics associated with each of the shard chains. For example, the shard analysis module **1406** may analyze the copies of the shard chains stored in the computer nodes of the shard networks. The shard analysis module **1406** may determine a size of the shard chain, an age of the blocks in the shard chains, a rate or frequency of blocks being added to the shard chain, and also characteristics of the blockchain of which the shard chain is a part.

(215) The process **1700** determines (at step **1725**), for each shard chain, a multi-party computation scheme based on the characteristics of the shard chain. For example, the configuration module **1408** may determine a multi-party computation scheme for each of the shard chains **1312**, **1314**, and **1316**. Each multi-party computation scheme may specify a minimum threshold number of participating computer nodes and one or more required computer nodes for validating transactions to be recorded in the corresponding shard chain.

(216) The process **1700** then implements (at step **1730**) the corresponding multi-party computation scheme within each of the shard networks. For example, the MPC manager **1402** may interact with the computer nodes in each of the shard networks **1322**, **1324**, and **1326** to configure the computer nodes according to the corresponding multi-party computation scheme. In some embodiments, the MPC manager **1402** may generate secrets and shares of the secrets based on a private key of each shard chain, and may distribute the secrets and shares of the secrets among the computer nodes in the shard networks. Once the multi-party computation schemes are implemented, the shard networks **1322**, **1324**, and **1326** may begin validating transactions under the corresponding multi-party computation scheme.

(217) FIG. **18** illustrates a process **1800** for modifying a multi-party computation schemes according to various embodiments of the disclosure. In some embodiments, at least a portion of the process **1800** may be performed by the MPC module **1232**. The process **1800** may begin by monitoring (at step **1805**) characteristics of each of the shard chains and shard networks. For example, the shard analysis module **1406** may monitor the transaction characteristics of transactions being added to the shard chains **1312**, **1314**, and **1316**, the node characteristics of the computer nodes in each of the shard networks **1322**, **1324**, and **1326**, and the chain characteristics of the shard chains **1312**, **1314**, and **1316**.

(218) The process **1800** then determines (at step **1810**) whether a condition exist. For example, the MPC manager **1402** may determine whether there is a change in the transaction characteristics, the node characteristics, and the chain characteristics. The MPC manager **1402** may determine a

condition exists when the change is larger than a threshold. If the condition does not exist, the process **1800** reverts back to the step **1805** and continues to monitor the characteristics of each of the shard chains and shard networks. However, if such a condition exists, the process **1800** analyzes (at step **1815**) the condition and modifies (at step **1820**) the multi-party computation schemes of one or more shard chains based on the condition. For example, the configuration module **1408** may analyze the characteristics (and change of the characteristics) of a shard chain, and may determine a modified multi-party computation scheme for a shard chain. The modification may include adjusting (e.g., increasing or decreasing) the minimum threshold number of required computer nodes in participating the validation process, changing the number of required computer nodes for participating the validation process, and/or assigning a different required computer node for participating the validation process. In some embodiments, based on a detected condition in a shard chain, the MPC module **1232** may modify only the multi-party computation scheme for that shard chain. In some embodiments, the MPC module **1232** may modify the multi-party computation scheme(s) for one or more other shard chains also based on the detected condition of the shard chain.

(219) The process **1800** then implements (at step **1825**) the modified multi-party computation schemes in the one or more shard chains. In some embodiments, to implement the modified the multi-party computation schemes, the MPC manager **1402** may generate new secrets and new shares of secrets and distribute the new secrets and new shares of secrets to the computer nodes in the shard networks.

(220) FIG. **19** illustrates a process **1900** for performing a validation process according to various embodiments of the disclosure. In some embodiments, at least a portion of the process **1900** may be performed by the computer nodes associated with a shard network. The process **1900** may begin by receiving (at step **1905**) a transaction associated with a shard chain. For example, when the service provider server **1230** receives a transaction request, the service provider server **1230** may generate transaction data associated with the transaction request, and may transmit the transaction data to computer nodes associated with a shard chain. Upon receiving the transaction data, a computer node associated with the shard chain may broadcast the transaction data to other computer nodes in the shard network associated with the shard chain such that every computer node in the shard network receives the transaction data.

(221) The process **1900** then performs (at step **1910**) a validation process for the transaction by collaborating with one or more other computer nodes to generate a digital signature. For example, the computer nodes in the shard network may collaborate with each other to perform a series of computations using the shares of secrets in their possessions. If the computer nodes that participate in the validation process using their shares of secrets satisfy the criteria specified in the multi-party computation scheme (e.g., computer nodes that satisfy the minimum threshold number requirement, and including the required computer node(s)), a correct digital signature based on the transaction data would be produced. On the other hand, if the computer nodes that participate in the validation process do not satisfy the criteria specified in the multi-party computation scheme, an incorrect digital signature (or no digital signature) would be produced.

(222) Next, the process **1900** determines (at step **1915**) whether the signature is valid, and records (at step **1920**) the transaction in the shard chain if the signature is valid. On the other hand, if the signature is not valid, the process **1900** discards (at step **1925**) the transaction. For example, each computer node in the shard network may determine whether the output signature from the validation process is a valid signature. The computer node can verify the signature by decrypting the signature using a public key associated with the shard chain, and determining whether the decrypted signature corresponds to the transaction data. If the signature is valid, the computer node may add the transaction to a block and append the block to the shard chain. On the other hand, if the signature is invalid, the computer node may discard the transaction.

(223) FIG. **20** is a block diagram of a computer system **2000** suitable for implementing one or more

embodiments of the present disclosure, including the service provider server **1230**, the merchant server **1220**, the user device **1210**, and the computer nodes **1512**, **1514**, **1516**, **1518**, and **1520**. In various implementations, the user device **1210**, and other user devices may include a mobile cellular phone, personal computer (PC), laptop, wearable computing device, etc. adapted for wireless communication, and each of the service provider server **1230**, the merchant server **1220**, and the computer nodes **1512**, **1514**, **1516**, **1518**, and **1520** may include a network computing device, such as a server. Thus, it should be appreciated that the devices/servers **1210**, **1220**, **1230**, **1512**, **1514**, **1516**, **1518**, and **1520** may be implemented as the computer system **2000** in a manner as follows.

(224) The computer system **2000** includes a bus **2012** or other communication mechanism for communicating information data, signals, and information between various components of the computer system **2000**. The components include an input/output (I/O) component **2004** that processes a user (i.e., sender, recipient, service provider) action, such as selecting keys from a keypad/keyboard, selecting one or more buttons or links, etc., and sends a corresponding signal to the bus **2012**. The I/O component **2004** may also include an output component, such as a display **2002** and a cursor control **2008** (such as a keyboard, keypad, mouse, etc.). The display **2002** may be configured to present a login page for logging into a user account or a checkout page for purchasing an item from a merchant. An optional audio input/output component **2006** may also be included to allow a user to use voice for inputting information by converting audio signals. The audio I/O component **2006** may allow the user to hear audio. A transceiver or network interface **2020** transmits and receives signals between the computer system **2000** and other devices, such as another user device, a merchant server, or a service provider server via a network **2022**, such as network **1260** of FIG. **12**. In one embodiment, the transmission is wireless, although other transmission mediums and methods may also be suitable. A processor **2014**, which can be a micro-controller, digital signal processor (DSP), or other processing component, processes these various signals, such as for display on the computer system **2000** or transmission to other devices via a communication link **2024**. The processor **2014** may also control transmission of information, such as cookies or IP addresses, to other devices.

(225) The components of the computer system **2000** also include a system memory component **2010** (e.g., RAM), a static storage component **2016** (e.g., ROM), and/or a disk drive **2018** (e.g., a solid-state drive, a hard drive). The computer system **2000** performs specific operations by the processor **2014** and other components by executing one or more sequences of instructions contained in the system memory component **2010**. For example, the processor **2014** can perform the transaction validation functionalities described herein according to the processes **1700**, **1800**, and **1900**.

(226) Logic may be encoded in a computer readable medium, which may refer to any medium that participates in providing instructions to the processor **2014** for execution. Such a medium may take many forms, including but not limited to, non-volatile media, volatile media, and transmission media. In various implementations, non-volatile media includes optical or magnetic disks, volatile media includes dynamic memory, such as the system memory component **2010**, and transmission media includes coaxial cables, copper wire, and fiber optics, including wires that comprise the bus **2012**. In one embodiment, the logic is encoded in non-transitory computer readable medium. In one example, transmission media may take the form of acoustic or light waves, such as those generated during radio wave, optical, and infrared data communications.

(227) Some common forms of computer readable media include, for example, floppy disk, flexible disk, hard disk, magnetic tape, any other magnetic medium, CD-ROM, any other optical medium, punch cards, paper tape, any other physical medium with patterns of holes, RAM, PROM, EPROM, FLASH-EPROM, any other memory chip or cartridge, or any other medium from which a computer is adapted to read.

(228) In various embodiments of the present disclosure, execution of instruction sequences to

practice the present disclosure may be performed by the computer system **2000**. In various other embodiments of the present disclosure, a plurality of computer systems **2000** coupled by the communication link **2024** to the network (e.g., such as a LAN, WLAN, PTSN, and/or various other wired or wireless networks, including telecommunications, mobile, and cellular phone networks) may perform instruction sequences to practice the present disclosure in coordination with one another.

(229) Where applicable, various embodiments provided by the present disclosure may be implemented using hardware, software, or combinations of hardware and software. Also, where applicable, the various hardware components and/or software components set forth herein may be combined into composite components comprising software, hardware, and/or both without departing from the spirit of the present disclosure. Where applicable, the various hardware components and/or software components set forth herein may be separated into sub-components comprising software, hardware, or both without departing from the scope of the present disclosure. In addition, where applicable, it is contemplated that software components may be implemented as hardware components and vice-versa.

(230) Software in accordance with the present disclosure, such as program code and/or data, may be stored on one or more computer readable mediums. It is also contemplated that software identified herein may be implemented using one or more general purpose or specific purpose computers and/or computer systems, networked and/or otherwise. Where applicable, the ordering of various steps described herein may be changed, combined into composite steps, and/or separated into sub-steps to provide features described herein.

(231) The various features and steps described herein may be implemented as systems comprising one or more memories storing various information described herein and one or more processors coupled to the one or more memories and a network, wherein the one or more processors are operable to perform steps as described herein, as non-transitory machine-readable medium comprising a plurality of machine-readable instructions which, when executed by one or more processors, are adapted to cause the one or more processors to perform a method comprising steps described herein, and methods performed by one or more devices, such as a hardware processor, user device, server, and other devices described herein.

## Claims

1. A system, comprising: a non-transitory memory; and one or more hardware processors coupled to the non-transitory memory and configured to read instructions from the non-transitory memory to cause the system to perform operations comprising: monitoring operations of a plurality of computer nodes associated with a shard chain in a plurality of shard chains; detecting a change of one or more attributes associated with the shard chain based on the monitored operations; determining, for the shard chain and based on the change of the one or more attributes, a multi-party computation scheme for validating transactions conducted through the shard chain, the multi-party computation scheme specifying a minimum number of computer node requirement for validating the transactions; determining a key required for performing a transaction validation computation according to the multi-party computation scheme; decomposing the key into a plurality of shares of the key based on the minimum number of computer node requirement; and configuring the plurality of computer nodes according to the multi-party computation scheme, wherein the configuring comprises distributing different subsets of the plurality of shares of the key to different computer nodes in the plurality of computer nodes according to a distribution arrangement that enables a first subset of the plurality of computer nodes that meets the minimum number of computer node requirement to re-generate the key based on first shares of the key stored on the first subset of the plurality of computer nodes, and prevents a second subset of the plurality of computer nodes that does not meet the minimum number of computer node requirement from re-

generating the key based on second shares of the key stored on the second subset of the plurality of computer nodes.

2. The system of claim 1, wherein the plurality of shard chains corresponds to a blockchain, with each shard chain corresponding to a distinct portion of the blockchain.

3. The system of claim 1, wherein the plurality of shard chains is associated with a set of computer nodes, and wherein each corresponding shard chain is associated with a subset of the set of computer nodes configured to manage the corresponding shard chain.

4. The system of claim 1, wherein the multi-party computation scheme further specifies one or more security conditions for the plurality of computer nodes associated with the shard chain.

5. The system of claim 1, wherein the operations further comprise: determining the minimum number of computer node requirement based on one or more security conditions associated with the plurality of computer nodes.

6. The system of claim 1, wherein the multi-party computation scheme further specifies a particular computer node, from the plurality of computer nodes, required to collaborate in validating the transactions conducted through the shard chain.

7. The system of claim 1, wherein the multi-party computation scheme is a first multi-party computation scheme, and wherein the operations further comprise: detecting a second change of the one or more attributes associated with the shard chain; determining a second multi-party computation scheme based on the second change of the one or more attributes; and re-configuring the plurality of computer nodes according to the second multi-party computation scheme.

8. The system of claim 1, wherein the one or more attributes comprise security characteristics of the shard chain.

9. A non-transitory machine-readable medium having instructions stored thereon that are executed by a computer system to perform operations comprising: monitoring a plurality of computer nodes associated with a shard chain in a plurality of shard chain; detecting a change of one or more attributes associated with the shard chain based on the monitoring; determining, for the shard chain and based on the change of the one or more attributes, a multi-party computation scheme for validating transactions conducted through the shard chain, the multi-party computation scheme specifying a minimum number of computer node requirement, for validating the transactions; determining a key required for performing a transaction validation computation according to the multi-party computation scheme; generating, based on the key and the minimum number of computer node requirement, a plurality of shares of the key; and configuring the plurality of computer nodes according to the multi-party computation scheme, wherein the configuring comprises distributing different subsets of the plurality of shares of the key to different computer nodes in the plurality of computer nodes according to a distribution arrangement that enables a first subset of the plurality of computer nodes that meets the minimum number of computer node requirement to re-generate the key based on first shares of the key stored on the first subset of the plurality of computer nodes, and prevents a second subset of the plurality of computer nodes that does not meet the minimum number of computer node requirement from re-generating the key based on second shares of the key stored on the second subset of the plurality of computer nodes.

10. The non-transitory machine-readable medium of claim 9, wherein the operations further comprise: determining the minimum number of computer node requirement based on a security condition associated with the plurality of computer nodes.

11. The non-transitory machine-readable medium of claim 9, wherein the multi-party computation scheme further specifies a particular computer node, from the plurality of computer nodes, required to collaborate in validating the transactions conducted through the shard chain.

12. The non-transitory machine-readable medium of claim 9, wherein the operations further comprise: detecting a second change of the one or more attributes associated with the shard chain; modifying the multi-party computation scheme based on the second change of the one or more attributes; and re-configuring the plurality of computer nodes according to the modified multi-party

computation scheme.

13. The non-transitory machine-readable medium of claim 9, wherein the determining the multi-party computation scheme is further based on the detected change exceeding a change threshold.

14. A method comprising: monitoring, by a computer system, operations of a plurality of computer nodes associated with a shard chain in a plurality of shard chains; detecting, by the computer system and based on the monitored operations, a change of one or more attributes associated with the shard chain; determining, by the computer system and for the shard chain, a multi-party computation scheme for validating transactions conducted through the shard chain based on the change of the one or more attributes, the multi-party computation scheme specifying a minimum number of computer node requirement for validating the transactions; determining, by the computer system, a key required for performing a transaction validation computation according to the multi-party computation scheme; determining, by the computer system, a plurality of shares of the key based on the minimum number of computer node requirement; and configuring, by the computer system, the plurality of computer nodes according to the multi-party computation scheme, wherein the configuring comprises distributing different subsets of the plurality of shares of the key to different computer nodes in the plurality of computer nodes according to a distribution arrangement that enables a first subset of the plurality of computer nodes that meets the minimum number of computer node requirement to re-generate the key based on first shares of the key stored on the first subset of the plurality of computer nodes, and prevents a second subset of the plurality of computer nodes that does not meet the minimum number of computer node requirement from re-generating the key based on second shares of the key stored on the second subset of the plurality of computer nodes.

15. The method of claim 14, wherein the plurality of shard chains corresponds to a blockchain, and wherein each shard chain corresponds to a distinct portion of the blockchain.

16. The method of claim 14, wherein the plurality of shard chains is associated with a set of computer nodes, and wherein each corresponding shard chain is associated with a subset of the set of computer nodes configured to manage the corresponding shard chain.

17. The method of claim 14, wherein the multi-party computation scheme further specifies one or more security conditions for the plurality of computer nodes associated with the shard chain.

18. The method of claim 14, further comprising determining the minimum number of computer node requirement based on one or more security conditions associated with the plurality of computer nodes.

19. The method of claim 14, wherein the multi-party computation scheme further specifies a particular computer node, from the plurality of computer nodes, required to collaborate in validating the transactions conducted through the shard chain.

20. The method of claim 14, further comprising: detecting a second change of the one or more attributes associated with the shard chain; modifying the multi-party computation scheme based on the second change of the one or more attributes; and re-configuring the plurality of computer nodes according to the modified multi-party computation scheme.

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